

Accounting Past Papers Assignment

BBA 4th Semester

Group: 1

2012, 2016, 2020

Roll No. 04, 08, 14, 18, 23, 30, 39, 45, 50

Past Paper 2012

Short Answers.

i). Generally Accepted Accounting Principle:

"GAAP provides a common set of rules and standards for preparing financial statements, ensuring uniformity across industries". GAAP aims to make financial information clear and understandable to users, including investors, creditors and regulators. By following GAAP, companies provide a basis for comparing their financial performance with other companies and across different time periods.

ii). Going Concern Assumption:

The "going concern assumption" in accounting means a business is expected to continue operating into the foreseeable future, rather than being liquidated or going out of business. This principle influences how assets and the liabilities are valued and reported in financial statements.

Example:

If we expected a company to go out of business a few months from now, it would make no sense to record any long term liabilities for that firm, because we wouldn't expect the business to still be there to pay them.

iii). Double entry Accounting System:-

The double entry system, also known as double-entry book-keeping. It is an accounting method where every financial transaction is recorded in at least two accounts, one as a credit, and one as a debit.

- This system ensures that the accounting equation remains balanced.

$$\text{Assets} = \text{Liabilities} + \text{Owner's Equity}.$$

- It provides a more accurate and detailed record of financial transactions

Example:-

If a business pays a \$ 1000 electricity bill, the cash account is credited (decreased), the utilities expense account is debited (increased).

(iv). Accounting Cycle:

Accounting Cycle is a sequence of activities performed by any accountant during each accounting period."

Stages:

- Journal
- Ledger
- Trial Balance.
- Adjusting Entries
- Closing Entries
- Financial, Statements
- Adjusted Trial Balance
- Post-Closing Trial Balance

This cycle ensures that all financial activities are accurately capture and summarized for reporting purposes.

(v) Trial Balance:

A trial balance is a book keeping worksheet that summarizes the debit and credit balances of all general ledger accounts at a specific point in time. It is a tool used to verify the accuracy of a company's bookkeeping and ensure that the double-entry bookkeeping system is functioning correctly. It's an internal document used by accountants and auditors for internal checks. Trial balance are typically Notes prepared at the end of each accounting period (e.g., monthly, quarterly, yearly). The trial balance provides the data needed to prepare financial statements like the balance sheet & Income statement.

(vi). Accrued Expenses:

Accrued expenses are costs a company has incurred but hasn't yet paid, like wages utilities or Javes. They are recognized in the accounting period they are incurred. even if the payment is made later. They are essentially liabilities that the company owes for goods or services received but not yet Paid for.

(vii) Current Assets:

Current assets are resources business expects to convert into a cash, sell or use within one year.

- They are essential for covering short-term obligations like operating expenses and loan payments.
- They are readily available and can be easily converted into cash.

Example:

- Cash
- Accounts Receivable
- Inventory
- Short-Term Investment.

(viii) Periodic Inventory System & Perpetual Inventory System:

Periodic Inventory System	Perpetual Inventory System
Periodic inventory system update inventory and COGS only at period-end.	Perpetual Inventory System track inventory in real time.
Inventory accounts, remains unchanged during the period, adjusted at the end of period.	Continuously update inventory and cost of goods sold with each purchase and sale.
Calculated by using a formula at the end: $\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending inventory}$.	Calculated instantly after each sale.

(ix) Working capital:

"Working Capital is a financial metric which represents operating liquidity available to a business, organisms other entity including government entities".

Formula:

Working Capital= Current Assets- Current Liabilities

Importance:

It represents the liquid resources business has available to fund its daily operations meet short term obligations and manage its overall financial health.

Working Capital play important role such as:

- Liquidity and operational Efficiency
- Financial Stability
- Investment Potential
- Short term Financial Health Indicator.

(x) Bank Reconciliation:

Bank reconciliation is the process of comparing a company cash records with the bank statement (passbook) to identify and correct differences. It ensure accurate cash reporting and detects errors or fraud. It maintain up-to-date financial records. It identifies, bank fees or interest not recorded.

Example:

Suppose your cash book shows a balance of \$10,000 but the bank statement shows \$9500, a bank reconciliation would involve identifying the \$500 difference, which might be due to a yet or bank charges.

(xi). Contingent Liability:

A contingent liability is a potential obligation whose existence will be confirmed only by some future event that may not occur. It is possible debt that might or might not become an actual liability. The occurrence of the liability depends on a future event that is uncertain. Contingent liabilities are not always recorded on the balance sheet but may be disclosed in the footnotes.

Example:

- Product Warranties
- Guarantees on debt
- Outstanding Lawsuits
- Potential Government probes.

(xii) Just-In-Time Inventory:

Just-in-time (JIT) inventory system is a strategy where goods are received from the supplier only as they are needed for production or to meet customer demand. This approach aims to minimize inventory holding cost, reduce waste, and improve efficiency.

Benefits:

- Reduce Holding Cost
- Improved cash flow
- Reduced waste
- Increase Efficiency
- Enhance Quality

Example:

Car manufactures like Toyota, only order parts of after receiving Notes customer orders, minimizing inventory.

(xii) FIFO Or LIFO :

FIFO	LIFO
FIFO means first in and first out.	LIFO means Last in and first out.
FIFO assumes that the oldest items in inventory are sold first	LIFO assumes that newest items are sold first.
It shows higher profit at the time of inflation.	It shows less profit in condition inflationary condition.
It shows less profit at deflation.	It shows higher profit at deflation.
Oldest inventory assign to COGS, recent purchases to ending inventory.	Recent purchases assigned to COGS, older inventory to ending inventory.

(xiv). Capital Budgeting:

A process businesses used to evaluate and decide on long-term investments like new machinery or facilities to determine if they are worth pursuing." It focus on cash flow rather than profits, helping companies allocate resources effectively to maximize returns and long term growth.

- Various techniques are used to evaluate projects:
 - Net Present Value (NPV)
 - Internal Rate of Return (IRR)
 - Payback period
 - Profitability Index (PI).

(xv). Capital Expenditure & Revenue Expenditure:

Capital Expenditure	Revenue Expenditure
Capital expenditure are long term investments with a life span of more than one year.	Revenue Expenditure are short term and incurred within a single account period.
Capital expenditure are used to acquire, upgrade or maintain long-lived assets.	Revenue expenditures covered the day to day to drag cost of running the business.

Question: 3

Play Land
Income Statement
For the December 31, 1984.

	\$	\$
Admission Revenue		192,000
Less: Operating Expenses		
Rent Expense	36,000	
Repairs expense	5,200	
Salaries expense	79,000	
Light & power expense	4,500	
Depreciation expense: Building	6,000	
Depreciation expense: Golf Course Structure	15,000	
Advertising expense	15,000	(160,700)
= Net Income/ Net Profit		31,300

Play Land
Statement of Owner's Equity
For the December 31, 1984.

	\$
Beginning Capital	108,000
Add: Net Profit	31,300
Less: Drawings	(25,000)
Ending Capital	114,300

Play Land
Balance Sheet
As on December 31, 1984.

Assets	\$	Liabilities & Owner's Equity	\$
Cash	13,500	Accounts Payable	7,700
Accounts Receivable	2,800	Salaries Payable	2,300
Building 60,000		Capital Stock	114,300
Less: Accumulated Depreciation (12,000)	48,000		
Golf Course Structure 90,000			
Less: Accumulated Depreciation (30,000)	60,000		
Total Assets	124,300	Total Liabilities & Owner's Equity	124,300

Past Paper 2016

Short Answers.

(i) Accrual basis & Cash Basis:

Accrual Basis	Cash basis:
Accrual basis and cash basis differ in when revenues and expenses are recorded.	Accrual basis & Cash basis differ in when revenues and expenses are recorded.
Revenue Recognition: Recorded when earned, even if payment is received later.	Revenue Recognition. Recorded when cash is received.
Expense Recognitions. Recorded when incurred, wen if paid later.	Expense Recognition. Recorded when cash is paid.
Suitable for: Larger Businesses, those using inventory, and those that need to follow GAAP (Generally Accepted Accounting principle.)	Suitable for: Sole Proprietors, small businesses, and cash-only businesses.
Example: A company provide services but is not paid until later, they record the revenue when the service are provided, not when the payment is received.	Example: A business sell a produce and the revenue is only recorded when the customer pays cash or makes a payment.

(ii). Realization Concept:

The realization concept in accounting states that revenue should only be recognized when it is earned and realized. This means revenue is recorded Notes when the legal process related to earning cash is received. The realization concept is often matched with the matching principle, which states expenses should be matches with revenues, they generate in the same accounting period.

Example

- **Retail:** When a business sells a product and delivers it to the customer, the revenue is realized.
- **Service:** When a service provides completes the service the revenue is realized, even if payment hasn't been received yet.

(iii). Double Entry accounting systems:

Same as Past Paper 2012 Question (iii).

(iv). Contra-Asset Account:

"A contra asset account is a special type of asset account that has a credit balance, instead of the usual debit balance for assets". This credit balance reduce the net value of the related asset on the balance sheet. Contra asset accounts are used to report more accurate and realistic valuation of assets, considering factors like depreciation or potential uncollectible accounts receivable.

Example:

- Accumulated depreciation.
- Allowance for doubtful Accounts.

(v). Amortization:-

"The process of spreading the cost of an intangible assets over its useful life ".

- For intangible assets, it is similar to depreciations.
- For loans, its means regular payments towards both principal or interest.

Example:

- **(Asset)**
 - **Example:** A Software license costing \$ 12,000 is amortized over 14 years and \$ 30000 per years.
- **(Loan)**
 - **Example:** A Loan of \$ 10,000 paid monthly over 5 years, with friends part of each I going to interest and part payment of principle.

(vi). Enlist Financial Statement:

Financial statement are the written records that convey the business activities and the financial performance of a company.

The financial statements are:

- Income Statement
- Statement of cash flow
- Balance Sheet
- Statement of Retained Earnings

1) Income Statement:-

"It is a financial statement that summarizes & company revenues, expenses, gains and losses over a specific period?" It shows how much a company made money and lost during that period.

2) Statement of Cash flow:

It provide a clear picture of a company cabs cash inflows and out flow. It is divided into three sections.

- Operating Activities
- Investing Activities
- Financing Activities

3) Balance Sheet:

A balance sheet is a financial statement that reports a company assets, liabilities and shareholder equity for a defined time period.

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

4) Retained Earnings:

The sum of a company earning from prior periods, after deducting any dividends paid to the company shareholders.

Formula.

$$\text{Retained Earnings} = \text{Beginning Retained earnings} + \text{Net Income} - \text{Dividends}$$

(vii). Contingent liability:

Same as Past Paper 2012 (xi)

(viii) Just in- time Inventory system

Same as Past Paper 2012 (xii)

(ix) LIFO & FIFO:

Same as Past Paper 2012 (xiii)

(x). Capital Budgeting

Same as Past Paper 2012 (xiv)

Question: 3**Brushstroke Art Studio****Adjusting Entries****As on December 31, 2005.**

Date	Particulars	L.F	Dr.\$	Cr.\$
31st December	Supplies expense		5000	
	Supplies (6000-1000)			5000
	(Supplies used become expense)			
31st December	Studio (revenue) rent expense		1667	
	Prepaid studio rent			1667
	(Advance rent is expired)			
31st December	Depreciation expense: Studio equipment		800	
	Accumulated Depreciation: Studio Equipment			800
	(To record Depreciation expense)			
31st December	Interest expense		240	
	Interest payable			240
	(To record accrued interest expense)			
31st December	Unearned client fee		3000	
	Client fee earned			3000
	(To record unearned fee is earned)			
31st December	Client fee receivable		690	
	Client fee earned			690
	(To record uncollected fee is earned)			
31st December	Salary expense		750	
	Salary payable			750
	(To record salary expense accrued in December)			
31st December	Income taxes expense		2000	
	Income taxes payable			2000
	(To record income tax accrued in December)			

Computations:**1. Supply Expense:**

Supplies on hand = \$1000

Supplies used = 6000 - 1000 = \$5000

2. Prepaid Rent:

$$1 \text{ Month rent} = \frac{2500}{3} = \$833$$

Used rent = 2 months = 2500 - 833 = \$1667

3. Depreciation: Equipment:

Cost of Equipment = \$96000

Life = 120 months

$$\text{Monthly Depreciation} = \frac{96000}{120} = \$800$$

4. Interest on Note Payable:

Loan = \$24000, Rate = 12%

3 Months Interest = $24000 \times 12\% \times (3/12) = \720

480 already recorded = $720 - 480 = \$240$

5. Accrued Income tax:

Income tax payable = \$7000

Already recorded = \$5000

Adjustment needed = \$2000

Adjusted Trial Balance

	\$	\$
Cash	22,380	
Clients Fees Receivable	71,940	
Supplies	1,000	
Prepaid Studio Rent	833	
Studio Equipment	96,000	
Accumulated Depreciation: Studio Equipment		52,800
Accounts Payable		6,420
Notes Payable		24,000
Interest Payable		720
Unearned Client fees		5,000
Income Taxes Payable		7,000
Capital Stock		50,000
Retained Earnings		20,000
Client Fees Earned		86,000
Supply Expense	9,000	
Salary Expense	18,000	
Interest Expense	720	
Studio Rent Expense	12,917	
Utilities Expense	3,300	
Depreciation Expense: Studio Equipment	9,600	
Income Taxes Expense	7,000	
Salary Payable		750
Total	252,690	252,690

Question: 4

Explorer Inc.

a). Total Manufacturing Cost:

Total Manufacturing Cost = Direct Material Cost + Direct Labour Cost + Manufacturing Overheads

$$\text{Total Manufacturing Cost} = 700,000 + 800,000 + 1,280,000$$

$$\boxed{\text{Total Manufacturing Cost} = \$2,780,000}$$

b). Cost of Finished Goods Manufactured:

Cost of Finished Goods Manufactured = Units complete X Cost per unit

$$\text{Cost of Finished Goods Manufactured} = 50 \times 52,000$$

$$\boxed{\text{Cost of Finished Goods Manufactured} = \$2,600,000}$$

c). Cost of Goods Sold:

Cost of Goods Sold = Units Sold X Cost per unit

$$\text{Cost of Goods Sold} = 48 \times 52,000$$

$$\boxed{\text{Cost of Goods Sold (COGS)} = \$2,496,000}$$

d). Gross Profit on Sale:

Sales Revenue = Units sold X Selling price per unit

$$\text{Sales Revenue} = 48 \times 80,000$$

$$\text{Sales Revenue} = \$3,840,000$$

Gross Profit = Sale - Cost of Goods Sold

$$\text{Gross Profit} = 3,840,000 - 2,496,000$$

$$\boxed{\text{Gross Profit} = \$1,344,000}$$

Question: 5

Same as Question 3 (Past Paper: 2012)

Past Paper 2020

Short Answers:

(i). Working Capital:

Same as Past Paper 2012 (ix)

(ii). Financial Assets:

"Financial Assets are intangible assets which represent ownership of value and a contractual right to receive payments".

Example:

- Cash and Cash equipment
- Stock and Shares
- Bonds and Debentures
- Bank deposits
- Accounts Receivable
- Mutual Funds.

Characteristics:

- Financial Assets do not have physical form. They are intangible.
- Their value comes from a legal agreement. (e.g; loans, agreements).
- Many financial assets are traded Public OR privately.

(iii). Cash Book:

"In accounting, cash book is specialized journal where all cash Notes transactions are recorded". It acts as a record of all cash receipts by payments, both in physical cash and bank transactions. This book helps to maintain accurate records of an organizations cash position and is a primary sources for positing to the general ledger. .A book of original entry, meaning transactions are first recorded there before being posted to other books of account. Transactions are recorded in the order they occur, providing a clear timeline of cash flow. It helps to reduce errors by providing a structured by organized way. to record transactions.

(iv). Materiality Principal:

Materiality is a concept in accounting that refers to the significance of an item or transaction in the context of financial Statement". An item is considered material of its omission or misstated could influence the economics decision of users (like investors or creditors). Materiality focus on the impact of information on users of financial statement, such as investors, creditor and auditors.

Example:

A small error in office supply expenses might to be immaterial while a significant legal settlement could be material.

(V) Amortization:

Same as Past Paper 2016 (v)

(vi). Operating Cycle:

In accounting, operating cycle represent the time it takes for a company to convert its initial investment in inventory to cash from sales. Its essentially the period from when business buys material or goods until it collect cash from the sale of a resulting products. A Shooter operating cycle can improve a company efficiency, cash flow and profitability.

Operating Cycle Steps:

- 1) Cash
- 2) Purchase raw material and goods
- 3) Convert into goods
- 4) Sell goods and services
- 5) Collected cash from customers.

(vii). Inventory Subsidiary ledger:-

"An inventory subsidiary ledger is a detailed accounting rerecord that tracks. individual inventory transactions". It provide a more granular view of inventory movements than the general ledges, helping businesses manage Stock levels, valuation by recorded decisions.

The purpose of inventory subsidiary ledger is:

- Detailed Tracking
- Separate Accounts
- Three column Structure
- Balance Tracking
- Analysis & Reporting
- Reconciliation

(viii). Revenue Expenditure:

In accounting revenue expenditure refers to the costs incurred to maintain operate a business for the current accounting period. They are essential for the business daily functioning and maintaining assets. Revenue expenditure do not result in the creation of new assets. They are recorded as Expenses in the income statement impacting the company net profit or loss.

Example:

- Salaries & Wages
- Rent and Utilities
- Repairs and maintenance
- Advertising Expenses
- Training cost

(ix) Debt to equity:

The debt to equity ratio (D/E) is a financial ratio that measure a company financial leverage by comparing total liability to stakeholder's equity.

Formula:

$$\text{D/E} = \frac{\text{Total Liabilities}}{\text{Total Stakeholder Equity}}$$

(x). Straight-Line method of depreciation:

It is a method where an assets cost is spread evenly over its useful life." It is the simplest and most commonly used depreciation method.

Formula:

$$\text{Annual depreciation} = \frac{\text{Cost of Asset} - \text{Residual Value}}{\text{Useful Life}}$$

Example: Computer cost \$ 3000 has a residual value of \$ 300 and a useful life of 5 years.

$$\text{Annual depreciation} = \frac{\$3000 - \$300}{5} = \$540 \text{ per year}$$

Question: 3**Ramirez Developers**

Date	Particulars	L.F	Dr.\$	Cr.\$
10 February	Accumulated Depreciation: Office Equipment		25,800	
	Loss on Disposal of Office Equipment		200	
	Office Equipment			26,000
	(To record scrapping of office equipment)			
1 April	Cash		100,000	
	Notes Payable		800,000	
	Accumulated Depreciation: Building		250,000	
	Land			50,000
	Building			550,000
	Gain on Sale of Land & Building			550,000
	(To record sale of land & building at gain)			
15 August	Vehicles (New Truck)		39,000	
	Accumulated Depreciation: Vehicles		18,000	
	Vehicles (Old Truck)			26,000
	Cash			29,000
	Gain on Disposal of Vehicle			2000
	(To record trade-in of truck & purchase of new one)			
1 October	Computer System (New)		8000	
	Accumulated Depreciation: Computer System		11,000	
	Loss on Disposal of Computer System		3500	
	Computer System (Old)			15,000
	Cash			1500
	Notes Payable			6000
	(To record trade-in of computer system)			

Working:**1. Office Equipment Scrapped:**

Cost of office equipment = \$26,000

Accumulated Depreciation = \$25,800

Scrapped (no cash received)

Loss = 26,000 - 25,800

Loss = \$200

2. Sale of Land & Building:

Land cost = \$50,000

Building Cost = \$550,000

Accumulated Depreciation: Building = \$250,000

Book Value of Building = $550,000 - 250,000 = \$300,000$

Book Value of Land & Building = $300,000 + 50,000$

Book Value of Land & Building = \$350,000

Sale = Cash = Notes Payable

Sale = $100,000 + 800,000$

Sale = \$900,000

3. Truck Trade-In:

Old Truck cost = \$26,000

Accumulated Depreciation = \$18,000

Book value of old truck = $26,000 - 18,000 = \$8,000$

Trade-In Allowance = \$10,000

Gain on Trade-In = $10,000 - 8000 = \$2000$

Cash paid = \$29,000

4. Computer System Trade-In:

Old Computer system cost = \$15,000

Accumulated Depreciation = \$11,000

Book value = $15,000 - 11,000 = \$4,000$

Trade-In Allowance = \$500

Loss on Trade-In = $4000 - 500 = \$3,500$

Cash paid= \$1500, Notes Payable = \$6,000

Question: 4

Jan's Dance Studio
Income Statement
For the Year ended 31 December

	\$	\$
Revenues:		
Studio Revenue Earned		165,000
Expenses:		
Salary Expense	85,000	
Supplies Expense	3900	
Rent Expense	12,000	
Insurance Expense	1900	
Advertising Expense	500	
Depreciation Expense: Equipment	1800	
Interest Expense	900	
Income Tax Expense	23000	(129,000)
Net Income		36000

Jan's Dance Studio
Statement of Retained earnings
For the Year ended 31 December

	\$
Beginning Retained Earnings	40,000
Add: Net Income	36,000
Less: Dividends	(6,000)
Ending Retained Earnings	70,000

Jan's Dance Studio

Balance Sheet

As on 31 December

Assets	\$	Liabilities & Owner's Equity	\$
Cash	171,100	Notes Payable	10,000
Accounts Receivable	9,400	Accounts Payable	3,200
Prepaid Studio Rent	3,000	Salaries Payable	4,000
Unexpired Insurance	7,200	Income Taxes Payable	6,000
Supplies	500	Unearned Studio Revenue	8,800
Equipment 18,000		Capital Stock	100,000
Accumulated Depreciation: Equipment (7,200)	10,800	Retained Earnings	70,000
Total Assets	202,000	Total Liabilities & Equity	202,000

Question: 5**Dodge, Inc.****a). Average Cost:**

Date	Purchase			Sale			Balance		
	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C
12 Dec	400	20	8000				400	20	8000
16 Jan	1200	22	26,400				1600	21.5	34,400
22 Jan				700	21.5	15,050	900	21.5	19,350

Cost of Goods Sold = \$15,050

Ending Inventory = \$19,350

b). FIFO:

Date	Purchase			Sale			Balance		
	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C
12 Dec	400	20	8000				400	20	8000
16 Jan	1200	22	26,400				400	20	8000
							1200	22	24,600
22 Jan				400	20	8000	900	22	19,800
				300	22	6600			

Cost of Goods Sold = \$8000 + 6600 = \$14,600

Ending Inventory = \$19,800

b). LIFO:

Date	Purchase			Sale			Balance		
	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C
12 Dec	400	20	8000				400	20	8000
16 Jan	1200	22	26,400				400	20	8000
							1200	22	24,600
22 Jan				700	22	15,400	400	20	8,000
							500	22	11,000

Cost of Goods Sold = \$15,400

Ending Inventory = \$11,000 - 8,000 = \$19,000

Group: 2

2013, 2017, 2022

Roll No. 05, 09, 15, 19, 25, 31, 38, 42, 49

Past paper 2013

2. Short Answers.

1. Define Periodic Inventory System and Perpetual Inventory System.

Periodic Inventory System

A **Periodic Inventory System** is an inventory management method where inventory records are updated at specific intervals, such as monthly, quarterly, or annually. The inventory balance is determined through a physical count at the end of each period.

- **Key Characteristics:**

- No continuous tracking of inventory.
- Cost of Goods Sold (COGS) is calculated at the end of the period using the formula:

$$\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$$

- **Example:** A small retail store counts inventory at the end of each month.

Perpetual Inventory System:

A **Perpetual Inventory System** is an inventory management method where inventory records are continuously updated in real time with every purchase or sale transaction.

- **Key Characteristics:**

- Uses technology (like barcode scanners or software) for automatic updates.
- Provides accurate, real-time inventory levels.
- COGS is calculated immediately after each sale.

- **Example:** A supermarket uses barcode scanners to automatically update inventory records whenever an item is sold.

2. Define worksheet.

A **Worksheet** in accounting is a multi-column document used to organize and adjust financial information before preparing financial statements. It is an internal tool that helps accountants ensure accuracy and completeness of financial data.

Example Structure of a Worksheet:

Account	Trial Balance	Adjustments	Adjusted Trial Balance	Income Statement	Balance Sheet
Cash	5,000		5,000		5,000
Accounts Receivable	3,000		3,000		3,000
Revenue			10,000	10,000	
Expenses	2,000		2,000	2,000	

A worksheet helps detect errors, adjust accounts, and prepare accurate financial statements.

3. What is adjusted trial balance?

An **Adjusted Trial Balance** is a list of all account balances in the general ledger after adjusting entries have been made at the end of an accounting period. It ensures that the total of debit balances equals the total of credit balances after adjustments.

Structure of Adjusted Trial Balance:

- It includes all accounts, including those adjusted (like depreciation, interest, or prepaid expenses).
- The format is similar to a trial balance but reflects updated balances.

Example:

Account	Debit(\$)	Credit(\$)
Cash	5,000	
Accounts Receivable	3,500	
Equipment	10,000	
Accumulated Depreciation		1,000
Revenue		15,000
Expenses	4,000	
Total	22,500	22,500

4. What is prepaid expenses?

Prepaid Expense is an expense that is paid in advance but not yet incurred. It represents an asset on the balance sheet because it provides future economic benefits.

Accounting Treatment:

1. At Payment:

- Debit: Prepaid Expense (Asset)
- Credit: Cash/Bank

2. At Period-End (Adjusting Entry):

- Debit: Relevant Expense Account (e.g., Rent Expense)
- Credit: Prepaid Expense (Asset)

Example:

If a company pays \$1,200 for one year of insurance in advance on January 1, it records:

- **Initial Entry:**

- Debit: Prepaid Insurance (Asset) \$1,200
- Credit: Cash \$1,200

- **Adjusting Entry at Month-End (January):**

- Debit: Insurance Expense \$100
- Credit: Prepaid Insurance \$100

The expense is gradually recognized each month.

5. What are the 8 Steps of the Accounting Cycle?

8 Steps of the Accounting Cycle:

1. Identify and Analyze Transactions:

- Collect and review source documents (invoices, receipts, bank statements).
- Determine which transactions are relevant for recording.

2. Journalize Transactions:

- Record transactions in the general journal using double-entry bookkeeping (debits and credits).

3. Post to the Ledger:

- Transfer journal entries to individual accounts in the general ledger.

4. Prepare an Unadjusted Trial Balance:

- List all general ledger accounts with their debit or credit balances.
- Ensure that total debits equal total credits.

5. Make Adjusting Entries:

- Record adjusting entries for accrued revenues, accrued expenses, depreciation, prepaid expenses, and unearned revenues.

6. Prepare an Adjusted Trial Balance:

- Update the trial balance to reflect the adjusting entries.
- Verify that total debits still equal total credits.

7. Prepare Financial Statements:

- Use the adjusted trial balance to prepare:
 - Income Statement
 - Statement of Retained Earnings
 - Balance Sheet
 - Cash Flow Statement (if required).

8. Close the Accounts:

- Close temporary accounts (revenues, expenses, and dividends) to retained earnings.
- Prepare a post-closing trial balance to ensure all temporary accounts are zeroed out.

These steps are repeated in each accounting period (monthly, quarterly, or annually) to maintain accurate financial records.

6. Define Matching Concept.

The **Matching Concept** is an accounting principle that requires expenses to be recorded in the same period as the revenues they help generate. It ensures that a company's financial statements accurately reflect the true profitability of a period by matching related revenues and expenses.

Example:

- If a company makes sales worth \$10,000 in January and incurs a cost of \$4,000 to produce those goods, the cost should be recorded in January as well.
- This way, the company reports a gross profit of \$6,000 (\$10,000 - \$4,000) in January, accurately matching revenue and expenses.

Importance:

The matching concept ensures that financial statements present a fair and accurate view of a company's profitability for each period.

7. What is contingent asset?

A **Contingent Asset** is a potential asset that may arise in the future based on the outcome of an uncertain event beyond the control of the business. It is not recognized in the financial statements unless it becomes virtually certain.

Examples:

1. **Lawsuit Claim:** A company is suing another party for damages, and if the court rules in its favor, it will receive compensation (a contingent asset).
2. **Insurance Claim:** A company has filed a claim for an insured loss, but the outcome is pending.

8. What is working capital and how is it calculated?

Working Capital:

Working Capital is a financial metric that measures a company's ability to meet its short-term obligations using its short-term assets. It indicates the liquidity position of a business.

Formula:

Working Capital = Current Assets - Current Liabilities

Interpretation:

- **Positive Working Capital:** Indicates that the company can easily cover its short-term liabilities.
- **Negative Working Capital:** Indicates liquidity problems, where liabilities exceed assets.

Example Calculation:

- A company has the following balances:
 - Current Assets: \$50,000 (cash \$10,000, accounts receivable \$20,000, inventory \$15,000, prepaid expenses \$5,000)
 - Current Liabilities: \$30,000 (accounts payable \$15,000, short-term loans \$10,000, wages payable \$5,000)

$$\text{Working Capital} = 50,000 - 30,000 = 20,000$$

This means the company has \$20,000 of working capital to cover its short-term obligations.

9. Differentiate between FIFO and LIFO methods of recording inventory.

FIFO vs. LIFO Inventory Methods

Aspect	FIFO	LIFO
Definition	Assumes that the oldest inventory items are sold first.	Assumes that the newest inventory items are sold first.
Ending Inventory	Composed of the most recently purchased items (newer costs).	Composed of the oldest inventory items (older costs).
Profit Impact	Higher profits in rising price periods (lower COGS, higher net income).	Lower profits in rising price periods (higher COGS, lower net income).

Example	If a company buys and sells mobile phones. • January 1: Purchased 10 phones at \$100 each. • January 5: Purchased 15 phones at \$110 each. • January 10: Sold 12 phones. Calculation: 1. The first 10 phones sold will be from the January 1 purchase (10 X \$100 = \$1000). 2. The remaining 2 phones will be from the January 5 purchase (2 X \$110 = \$220). Cost of Goods Sold (COGS): = \$1000 + \$220 = \$1220 Ending Inventory: = 13 phones (remaining from January 5) at \$110 each = \$1430.	If a company buys and sells mobile phones. • January 1: Purchased 10 phones at \$100 each. • January 5: Purchased 15 phones at \$110 each. • January 10: Sold 12 phones. Calculation: 1. The first 12 phones sold will be from the January 5 purchase (12 X \$110 = \$1320). Cost of Goods Sold (COGS): = \$1320 Ending Inventory: • 3 phones from January 5 at \$110 each = \$330. • 10 phones from January 1 at \$100 each = \$1000. • Total = \$1330
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10. Define Statement of Retained Earnings.

Statement of Retained Earnings:

A **Statement of Retained Earnings** is a financial statement that shows the changes in a company's retained earnings over a specific period. It provides a summary of how net income, dividends, and other adjustments have impacted the retained earnings balance.

Formula:

Ending Retained Earnings = Beginning Retained Earnings + Net Income - Dividends + Adjustments (if any)

Example:

If a company has the following details for a year:

- Beginning Retained Earnings: \$50,000
- Net Income: \$20,000
- Dividends Paid: \$5,000

Ending Retained Earnings = 50,000 + 20,000 - 5,000 = 65,000

This statement helps stakeholders understand how much of the profits were retained in the business versus distributed to shareholders.

Question No. 3

Banner, Inc.

Bank Reconciliation Statement

As of July 31, 2012

	\$
Balance as per Bank Statement (July 31, 2012)	Cr. 114,828
Add: Cash received but left in Bank Statement	Cr. 16,000
	Cr. 130,828
Less: Outstanding Cheques	Dr. (1,114)
▪ Cheque No. 811 314	
▪ Cheque No. 814 625	
▪ Cheque No. 823 175	
Adjusted Cash Balance	Cr. 129,714
Balance as per Depositor's Record	Dr. 125,568
Add: Notes Receivable collected by bank	Dr. 4,000
	Dr. 129,568
Add: Cheque paid for office supplies but wrongly credited by extra amount	Dr. 396
	Dr. 129,964
Less: Service charges debited by bank but not recorded in depositor's record	Cr. (50)
	Dr. 129,914
Less: NSF Cheque	Cr. (200)
Adjusted Cash Balance	Dr. 129,714

Question No. 4

Given Data:

Balance Sheet (as of December 2012)

Assets	\$	Liabilities & Owner's Equity:	\$
Cash	500	Accounts Payable	1,000
Accounts Receivable	5,000	Bank Loan	1,000
Inventories	2,000	Accruals	1,100
Current Assets	7,500	Current Liabilities	3,100
Net Fixed Assets	2,000	Long Term Debt	2,650
		Common Stock	3,750
Total Assets	9,500	Total Liabilities & Equity	9,500

Income Statement (for the year 2012)

	\$	\$
Sales		8,000
Less: Cost of Goods Sold (COGS)		(2,000)
= Gross Profit		6,000
Less: Operating Expenses	500	
Selling & Admin Expenses	500	(1000)
= Profit before Tax		5000
Less: Income Tax		(400)
= Net Profit		4600

i) Current Ratio

Formula:

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

Calculation:

$$\text{Current Ratio} = \frac{7,500}{3,100} \approx 2.42$$

Interpretation:

A current ratio of 2.42 means the company has \$2.42 in current assets for every \$1 of current liabilities. This indicates good short-term liquidity.

ii) Quick Ratio (Acid-Test Ratio)

Formula:

$$\text{Quick Ratio} = \frac{\text{Current Assets} - \text{Inventories}}{\text{Current Liabilities}}$$

Calculation:

$$\text{Quick Ratio} = \frac{7,500 - 2,000}{3,100}$$

$$\text{Quick Ratio} = \frac{5,500}{3,100} \approx 1.77$$

Interpretation:

The company has \$1.77 in liquid assets for every \$1 of current liabilities. Inventories are excluded because they may not be quickly converted to cash.

iii) Net Profit Ratio**Formula:**

$$\text{Net Profit Ratio} = \left(\frac{\text{Net Profit}}{\text{Sales}} \right) \times 100$$

Calculation:

$$\text{Net Profit Ratio} = \frac{(4,600)}{(8,000)} \times 100$$

$$\text{Net Profit Ratio} = 57.5\%$$

Interpretation:

A 57.5% net profit ratio shows excellent profitability—out of every \$100 in sales, \$57.50 is net income.

iv) Gross Profit Ratio**Formula:**

$$\text{Gross Profit Ratio} = \frac{(\text{Gross Profit})}{(\text{Sales})} \times 100$$

Calculation:

$$\text{Gross Profit Ratio} = \frac{(6,000)}{(8,000)} \times 100$$

$$\text{Gross Profit Ratio} = 75\%$$

Interpretation:

The company earns \$0.75 in gross profit from every \$1 of sales before considering operating expenses.

v) Average Collection Period**Formula:**

$$\text{Average Collection Period} = \frac{(\text{Accounts Receivable})}{(\text{Credit Sales})} \times 360$$

Calculation:

$$\text{Average Collection Period} = \frac{(5,000)}{(8,000)} \times 360$$

$$\text{Average Collection Period} = 0.625 \times 360$$

$$\text{Average Collection Period} = 225 \text{ days}$$

Interpretation:

On average, it takes **225 days** for the company to collect its receivables, which is quite long and may indicate inefficiency in collections.

Question No. 5

(a) Periodic Inventory System

Date	Account Titles & Explanation	L.F	Debit \$	Credit \$
June 10	Purchases A/C		3,000	
	Accounts Payable A/C			3,000
	(Purchased 10 TVs on account)			
June 15	Cash A/C		450	
	Sales Revenue A/C			450
	(Sold 1 TV for cash; no COGS entry in periodic)			
June 20	Accounts Payable A/C		3,000	
	Cash A/C			2,940
	Purchase Discount A/C			60
	(Paid within discount period: 2% of 3000 = Rs. 60)			

(b) Perpetual Inventory System

Date	Account Titles & Explanation	L.F	Debit \$	Credit \$
June 10	Inventory A/C		3,000	
	Accounts Payable A/C			3,000
	(Purchased 10 TVs for inventory)			
June 15	Cash A/C		450	
	Sales Revenue A/C			450
	(Sold 1 TV for cash)			
	Cost of Goods Sold A/C		300	
	Inventory A/C			300
	(COGS recognized for 1 TV sold)			
June 20	Accounts Payable A/C		3,000	
	Cash A/C			2,940
	Purchase Discount A/C			60
	(Paid supplier within discount period)			

Past paper 2017

2. Short Answers.

1. What is a Bank Reconciliation Statement?

A Bank Reconciliation Statement (BRS) is a document that reconciles the difference between the bank balance as per a company's Cash Book and the balance shown in the Bank Statement on a specific date. This reconciliation ensures that all transactions are accurately recorded and identifies any discrepancies between the two records.

Common Causes of Discrepancies

- **Outstanding Checks:** Checks issued by the business that have not yet been cleared by the bank.
- **Deposits in Transit:** Deposits made by the business but not yet credited by the bank.
- **Bank Charges and Interest:** Fees or interest charged by the bank that the business has not recorded.
- **Errors in Recording:** Mistakes in recording transactions in the Cash Book or the Bank Statement.

Format of a Bank Reconciliation Statement

1. **Start with the balance as per the Cash Book or Bank Statement.**
2. **Add or subtract adjustments (e.g., outstanding checks, deposits in transit).**
3. **Calculate the adjusted balance.**
4. **Ensure the adjusted balance matches the other record (Cash Book or Bank Statement).**

2. Define Financial Assets.

Financial Assets are assets that derive value from a contractual claim to receive cash or another financial asset in the future. They are considered liquid and can be easily converted into cash.

Examples:

1. **Cash and Cash Equivalents:** Physical currency, demand deposits, and highly liquid short-term investments.
2. **Receivables:** Amounts due from customers or other parties.
3. **Investments in Securities:** Shares, bonds, mutual funds, and other marketable securities.
4. **Derivative Instruments:** Financial contracts like options, futures, or swaps, whose value is derived from an underlying asset.

In accounting, financial assets are recognized on the balance sheet and are usually measured at fair value, amortized cost, or through other specific valuation methods, depending on their nature and purpose.

3. Define Stakeholders.

Stakeholders are individuals, groups, or entities that have an interest in or are affected by the activities, decisions, and outcomes of an organization. They can be classified into two main categories:

1. **Internal Stakeholders:** Directly involved in the organization's operations, such as employees, managers, and owners.
2. **External Stakeholders:** Not directly involved in operations but affected by the organization's performance, such as customers, suppliers, investors, creditors, government agencies, and the community.

Stakeholders can influence the organization's strategies and are also impacted by the organization's success or failure. Understanding and managing stakeholder expectations is essential for achieving organizational goals.

4. Differentiate between a Perpetual and Periodic Inventory Systems

Perpetual and Periodic Inventory Systems are two methods of tracking inventory in a business:

	Perpetual Inventory System:	Periodic Inventory System
Definition	Continuously updates inventory records after every purchase and sale of goods.	Updates inventory records at specific intervals (monthly, quarterly, or annually).
Cost of Goods Sold (COGS)	Calculated immediately after each sale.	Calculated at the end of the period using the formula: $\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$
Advantages	Provides accurate inventory levels, detects theft, and identifies stock shortages immediately.	Simpler and less costly to maintain.
Example:	A supermarket using barcode scanners to update inventory instantly.	A small retail store counting inventory at the end of each month.
Cost	Generally more expensive due to technology and software requirements.	Less expensive due to fewer tracking requirements.
Suitability	Best for business with high-value or frequently moving inventory.	Suitable for small businesses with low-value or slow-moving inventory.

5. Define Depreciation.

Depreciation is the systematic allocation of the cost of a tangible fixed asset over its useful life. It represents the gradual reduction in the value of an asset due to factors like wear and tear, obsolescence, or age.

Common Methods of Depreciation:

1. **Straight-Line Method:** Depreciation is calculated evenly over the asset's useful life.

$$\text{Depreciation Expense} = \frac{\text{Cost} - \text{Residual Value}}{\text{Useful Life}}$$

2. **Reducing Balance Method:** Depreciation is calculated at a fixed percentage on the book value of the asset, which decreases over time.

Example:

If a company purchases a machine for \$10,000 with an estimated useful life of 5 years and a residual value of \$2,000, the annual depreciation using the straight-line method would be:

$$\text{Depreciation Expense} = \frac{10,000 - 2,000}{5} = 1,600 \text{ per year}$$

6. What is meant by Consistency principle?

The **Consistency Principle** is an accounting concept that requires a business to use the same accounting methods and procedures from one accounting period to the next. This principle ensures comparability of financial statements over time, making it easier for stakeholders to analyze the company's performance and financial position.

Example:

- If a company uses the **FIFO (First-In, First-Out)** method for inventory valuation in one year, it should continue to use FIFO in the following years for consistency.
- If it switches to **LIFO (Last-In, First-Out)**, the change must be disclosed in the financial statements, and the impact on profits or inventory value must be clearly stated.

7. Define Inventory Turnover Rate.

Inventory Turnover Rate is a financial ratio that measures how efficiently a company manages its inventory by showing how many times inventory is sold and replaced during a specific period.

Formula:

$$\text{Inventory Turnover Rate} = \frac{\text{Cost of Goods Sold (COGS)}}{\text{Average Inventory}}$$

Where:

- **COGS:** The total cost of goods sold during the period.
- **Average Inventory:** Calculated as:

$$\frac{\text{Beginning Inventory} + \text{Ending Inventory}}{2}$$

Example:

If a company has a COGS of \$500,000 and an average inventory of \$100,000, the inventory turnover rate would be:

$$\text{Inventory Turnover Rate} = \frac{500,000}{100,000} = 5 \text{ times}$$

This means the company sold and replaced its inventory five times during the period.

8. Differentiate between capital Expenditures and Revenue Expenditures.

	Capital Expenditures	Revenue Expenditures
Definition	Costs incurred to acquire, improve, or extend the useful life of an asset.	Expenditure incurred for the day-to-day operations of the business.
Nature	Long-term benefits, extending beyond one accounting period.	Short-term benefits, consumed within the same accounting period.
Purpose	To acquire new assets or improve existing assets (e.g., machinery).	To maintain current operations or repair assets (e.g., salaries, repairs).
Accounting Treatment	Recorded as an asset on the balance sheet.	Recorded as an expense in the income statement.
Examples	Purchases of land, construction of a building, machinery upgrade, or installation costs.	Utility bills, rent, wages, repairs, electricity, office supplies and routine maintenance of machinery.

Example:

1. If a company buys new machinery for \$50,000, this is a **Capital Expenditure** because it provides long-term benefits.
2. If the company spends \$500 on machine repairs, this is a **Revenue Expenditure** because it maintains the machine for current operations.

9. Define Gross Profit Margin and give its Formula.

Gross Profit Margin measures the percentage of revenue that exceeds the cost of goods sold (COGS). It shows how efficiently a company produces and sells its products before accounting for other expenses.

Formula:

$$\text{Gross Profit Margin} = \frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$$

Where:

Gross Profit = Net Sales - Cost of Goods Sold (COGS)

Interpretation:

A higher gross profit margin indicates better efficiency in production and pricing, while a lower margin may suggest higher costs or lower selling prices.

10. Define Retained Earnings.

Retained Earnings are the portion of a company's net profit that is kept or reinvested in the business instead of being distributed to shareholders as dividends. It represents accumulated profits that have been retained over time to fund growth, pay off debt, or invest in assets.

Formula:

Retained Earnings = Beginning Retained Earnings + Net Profit (or Loss) - Dividends Paid

Retained earnings appear in the equity section of the balance sheet and indicate the company's ability to sustain and expand operations from its own profits.

Question: 3 (a).

i. Straight Line Method

Cost of new equipment = \$325,000

Useful Life = 5 Years

Residual Value = \$25,000

$$\text{Depreciation Expense} = \frac{\text{Cost of Asset} - \text{Residual Value}}{\text{Years}}$$

$$\text{Depreciation Expense} = \frac{\$325,000 - \$25,000}{5}$$

Depreciation Expense = \$60,000

$$\text{Nine months depreciation} = \$60,000 \times \frac{9}{12} = \$45,000$$

$$\text{Three months depreciation} = \$60,000 - \$45,000 = \$15,000$$

Years	Details	Depreciation	Accumulated Depreciation	Book Value (365,000)
2010	45,000	45,000	45,000	280,000
2011	60,000	60,000	105,000	220,000
2012	60,000	60,000	165,000	160,000
2013	60,000	60,000	225,000	100,000
2014	60,000	60,000	285,000	40,000
2015	15,000	15,000	300,000	25,000

ii. Diminishing / Declining Balance Method

Rate of Depreciation = 40 % with half - year convention.

Depreciation Expense = (Cost of Asset – Accumulated Depreciation) X Rate of Depreciation

Years	Details	Depreciation	Accumulated Depreciation	Book Value (365,000)
April 1, 2010	(325,000 X 40% X 0.5)	65,000	65,000	260,000
Dec 31, 2011	260,000 X 40%	104,000	169,000	156,000
Dec 31, 2012	156,000 X 40%	62,400	231,400	93,600
Dec 31, 2013	93,600 X 40%	37,440	268,840	56,160
Dec 31, 2014	56,160 X 40%	22,464	291,304	33,690
March 31, 2015	33,690 - 25,000	8,696	300,000	25,000

(b). Sale of Equipment:

Book Value at December 31, 2012.

Years	Depreciation
2010	45,000
2011	60,000
2012	60,000

Accumulated depreciation till = \$45,000 + \$60,000 + \$60,000 = \$165,000

Book Value = \$325,000 – \$165,000 = \$160,000

Sale Price = \$176,250

Sale Price - Book Value = 176,250 - 160,000

Gain on Sale = \$16,250

Journal Entry

Particulars	Dr.	Cr.
Cash	176,250	
Accumulated Depreciation	165,000	
Equipment		325,000
Gain on Sale of Equipment		16,250

Question: 4

Pak View Company
Bank Reconciliation Statement
As on 31 July, 2017.

	\$
Balance as per Bank Statement	Cr. 5000.17
Add: A deposit on July 31 does not appear in Bank Statement	Cr. 410.9
	Cr. 5441.07
Less: Outstanding Checks	Dr. (717.75)
▪ Cheque No. 881 \$100.00	
▪ Cheque No. 888 \$10.25	
▪ Cheque No. 890 \$402.50	
▪ Cheque No. 891 \$205.00	
Adjusted Cash Balance	Cr. 4693.32
Balance as per Depositor's Record	Dr. 4262.83
Add: Non-interest bearing note receivable collected by bank.	Dr. 500.00
	Dr. 4762.83
Add: Interest earned	Dr. 24.74
	Dr. 4787.57
Less:	Cr. (67.25)
• Fee Charges 5.00	
• Deposited charges NSF 50.25	
• Service charges 12.00	
	Dr. 4720.32
Less: Wrongly credited by lower amount	Cr. (27)
Adjusted Balance	Dr. 4693.32

Question: 5

Classic Studio, Inc.
Income Statement
For the year ended December 31, 2016.

	\$	\$
Revenues:		
Studio Revenue Earned		165,000
Expenses:		
Salary Expense	85,000	
Supplies Expense	3900	
Rent Expense	12,000	
Insurance Expense	1900	
Advertising Expense	500	
Depreciation Expense: Equipment	1800	
Interest Expense	900	
Income Tax Expense	23000	(129,000)
Net Income		36000

Classic Studio, Inc.
Statement of Retained Earnings
For the year ended December 31, 2016.

	\$
Retained Earnings (01-01-2016)	40,000
Add: Net Income	36,000
Less: Dividends (6,000)	
Retained Earnings (31-12-2016)	70,000

Classic Studio, Inc.
Balance Sheet
December 31, 2016.

Assets	\$	Liabilities & Owner's Equity	\$
Cash	171,100	Notes Payable	10,000
Accounts Receivable	9,400	Accounts Payable	3,200
Prepaid Studio Rent	3,000	Salaries Payable	4,000
Unexpired Insurance	7,200	Income Taxes Payable	6,000
Supplies	500	Unearned Studio Revenue	8,800
Equipment 18,000		Capital Stock	100,000
Accumulated Depreciation: Equipment (7,200)	10,800	Retained Earnings	70,000
Total Assets	202,000	Total Liabilities & Equity	202,000

Classic Studio, Inc.

Closing Entries

December 31, 2016.

		\$	\$
	(1)		
December 31	Studio Revenue Earned	165,000	
	Income Summary		165,000
	(To close revenue account)		
	(2)		
December 31	Income Summary	129,000	
	Salary Expense		85,000
	Supply Expense		3900
	Rent Expense		12,000
	Insurance Expense		1900
	Advertising Expense		500
	Depreciation Expense: Equipment		1800
	Interest Expense		900
	Income Taxes Expense		23000
	(To close all expense account)		
	(3)		
December 31	Retained Earning	36,000	
	Income Summary		36,000
	(To transfer net loss in 2018 to the retained earning account) (165,000-129,000 = 36,000)		
	(4)		
December 31	Retained Earnings	6,000	
	Dividends		6,000

Classic Studio, Inc.
After-Closing Trial Balance
December 31, 2016.

	\$	\$
Cash	171,100	
Accounts Receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated Depreciation: Equipment		7,200
Notes Payable		10,000
Accounts Payable		3,200
Salaries Payable		4,000
Income Tax Payable		6,000
Unearned studio revenue		8,800
Capital Stock		100,000
Retained Earnings		70,000
	209,200	209,200

Past paper 2022

1. Short Answers

1. In general terms, what are revenues and expenses? How are they related in the determination of an enterprise's net income or net loss?

Revenues

- **Definition:** Revenues are the amounts earned by an enterprise from its core business activities, such as the sale of goods, provision of services, interest, royalties, or any other primary activities.
- **Examples:** Sales revenue, service revenue, interest income, rental income.

Expenses

- **Definition:** Expenses are the costs incurred by an enterprise in the process of generating revenues. They represent the consumption of assets or incurrence of liabilities during an accounting period.
- **Examples:** Cost of goods sold, salaries expense, rent expense, utilities expense, depreciation.

Relationship between Revenues and Expenses in Determining Net Income or Net Loss:

- Net Income or Net Loss is determined using the following formula:
Net Income (or Net Loss) = Revenues - Expenses
- If **Revenues exceed Expenses**, the result is **Net Income**.
- If **Expenses exceed Revenues**, the result is a **Net Loss**.

This relationship is fundamental to the preparation of an enterprise's Income Statement, which is a financial statement showing the company's financial performance over a specific period.

2. What is the basic Accounting Equation? Briefly define the three primary elements in the equation.

The Basic Accounting Equation:

The basic accounting equation is:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

This equation forms the foundation of double-entry bookkeeping, ensuring that the financial position of a business is always balanced.

Three Primary Elements of the Equation:

1. Assets:

- **Definition:** Assets are resources owned or controlled by a business that are expected to provide future economic benefits.
- **Examples:** Cash, accounts receivable, inventory, land, buildings, equipment.

2. Liabilities:

- **Definition:** Liabilities are the obligations of a business that it must settle in the future, usually by transferring assets or providing services.
- **Examples:** Accounts payable, loans payable, salaries payable, unearned revenue.

3. Equity:

- **Definition:** Equity (also known as Owner's Equity or Shareholders' Equity) represents the owner's residual interest in the assets of a business after deducting liabilities.
- **Components:** Contributed capital (such as common stock) and retained earnings (profits retained in the business).

This equation ensures that every financial transaction affects at least two of these elements, maintaining the balance of the equation.

3. Discuss the relationship among the income statement, the statement of retained earnings and the balance sheet.

Relationship among the Income Statement, Statement of Retained Earnings, and Balance Sheet:

1. Income Statement:

- **Purpose:** It reports a company's financial performance over a specific period, showing revenues, expenses, and resulting net income or net loss.
- **Structure:**
 - $\text{Revenues} - \text{Expenses} = \text{Net Income (or Net Loss)}$
- **Link to Statement of Retained Earnings:** The net income (or net loss) calculated in the income statement is transferred to the statement of retained earnings.

2. Statement of Retained Earnings:

- **Purpose:** It shows the changes in retained earnings over a period.
- **Structure:**
$$\text{Beginning Retained Earnings} + \text{Net Income (or - Net Loss)} - \text{Dividends} = \text{Ending Retained Earnings}$$
- **Link to Balance Sheet:** The ending retained earnings figure from this statement is reported under the equity section of the balance sheet.

3. Balance Sheet:

- **Purpose:** It presents the company's financial position at a specific point in time, showing assets, liabilities, and equity.
- **Structure:**
Assets = Liabilities + Equity
- **Link to Statement of Retained Earnings:** The ending retained earnings calculated in the statement of retained earnings is part of the equity section on the balance sheet.

Summary of the Relationship:

- The **Income Statement** calculates net income, which is then used in the **Statement of Retained Earnings** to determine the ending retained earnings.
- The ending retained earnings from the statement of retained earnings is included in the **Equity section of the Balance Sheet**.
- This interconnected flow ensures that the financial statements are consistent and accurate.

4. Do adjusting entries affect income statement accounts, balance sheet accounts, or both? Explain.

Adjusting Entries: Impact on Financial Statements

- **Adjusting entries affect both income statement accounts and balance sheet accounts.**
- They are made at the end of an accounting period to ensure that revenues and expenses are recognized in the correct period, following the accrual basis of accounting.

How Adjusting Entries Affect Financial Statements:

1. Impact on Income Statement Accounts:

- Adjusting entries update revenue and expense accounts to ensure they reflect the correct amounts for the period.
- **Examples:**
 - Recording accrued revenue (Revenue is recorded even if cash has not been received).
 - Recording accrued expenses (Expenses are recorded even if not yet paid).
 - Adjusting for depreciation expense.

2. Impact on Balance Sheet Accounts:

- Adjusting entries also affect asset, liability, and equity accounts to ensure they are properly valued.
- **Examples:**
 - Reducing prepaid expenses (an asset) and recognizing them as expenses.
 - Recording accrued liabilities (increasing liabilities).
 - Reducing the value of fixed assets through accumulated depreciation.

Example of an Adjusting Entry:

1. **Accrued Salaries:**

At the end of the period, salaries of \$5,000 are earned by employees but not yet paid.

1. **Income Statement Impact:** Salaries Expense (an expense account) is increased by \$5,000.
2. **Balance Sheet Impact:** Salaries Payable (a liability account) is increased by \$5,000.

This ensures that the income statement shows the correct expenses for the period, and the balance sheet accurately shows the liabilities owed.

5. Briefly explain the concept of materiality. If an item is not material, how is the item treated for financial reporting purposes?

Concept of Materiality

- **Materiality** is an accounting principle that determines the significance of an item, transaction, or event to the financial statements of an enterprise.
- An item is considered **material** if its omission or misstatement could influence the economic decisions of users of the financial statements.
- Materiality is a matter of professional judgment, depending on the size, nature, and circumstances of the item.

Treatment of Immaterial Items in Financial Reporting

- If an item is **not material**, it is treated with **simplified accounting methods**:
 - It may be **immediately expensed** rather than capitalized (e.g., a small office supply purchase may be recorded as an expense rather than as an asset).
 - It may be **grouped with other similar items** for reporting purposes.
 - Complex disclosures may be **avoided** for immaterial items.

Example:

- If a company purchases a stapler for \$10, this is an immaterial expense. Instead of recording it as an asset (office equipment) and depreciating it over time, the company can directly expense the cost in the period it is purchased.

6. Discuss the relationship among the income statement, the statement of retained earnings and the balance sheet.

Same as Question 3

Question: 2

Prepare Bank Reconciliation Statement.

Dodge, INC.

Bank Reconciliation Statement

As on 30 November, _____

	\$
Balance as per Bank Statement as on 30 November	Cr. 4710
Add: Cash received but left in Bank Statement	Cr. 3850
	Cr. 8560
Less: Three Cheques issued but not paid by bank (\$115+\$170+\$530)	Dr. (815)
Adjusted Cash Balance	Cr. 7745
Balance as per Depositor's Record as on 30 November	Dr. 6750
Less: Service Charges debited by bank but not recorded in depositor's record	Cr. (15)
	Dr. 6735
Add: Non-interest bearing Note Receivable collected by bank	Dr. 4000
	Dr. 10735
Less: Cheques paid for office supplies but wrongly credited by lower amount	Cr. (90)
	Dr. 10645
Less: Cheque returned due to NSF	Cr. (2900)
Adjusted Balance	Dr. 7745

Question: 3**MYSTIC MASTERS.****Income Statement****For the year ended December 31, 2011.**

	\$	\$
Revenues:		
Client Revenue Earned		52,000
Expenses:		
Insurance Expense	6,000	
Office Rent Expense	9,000	
Supplies	440	
Salary	48,000	
Depreciation Expense: Furniture & Fixtures	1,400	
Office and Telephone Expense	3,000	
Internet Service Expense	4,900	
Legal Expense	1,500	
Interest Expense	4,000	
Miscellaneous Expense	5,000	83,240
Net Loss		(31,240)

MYSTIC MASTERS.
Statement of Retained Earnings
For the year ended December 31, 2011.

	\$
Retained Earnings (01-01-2011)	2,600
Less: Net Loss	(31,240)
Retained Earnings (31-12-2011)	(28,640)

MYSTIC MASTERS.
Balance Sheet
December 31, 2011.

Assets	\$	Liabilities & Owner's Equity	\$
Cash	960	Accounts Payable	6540
Accounts Receivable	300	Notes Payable	24000
Unexpired Insurance	2000	Salaries Payable	1700
Prepaid Rent	1500	Interest Payable	360
Supplies	200	Unearned Client Revenue	200
Furniture & Fixtures 8400		Capital Stock 4,000	
Accumulated Depreciation: Furniture & Fixtures (5200)	3200	Retained Earnings (28,640)	(24640)
Total Assets	8160	Total Liabilities & Owner' Equity	8160

2014, 2018, 2023

Group: 3

Roll No. 06, 11, 16, 20,26, 35, 37, 41, 48

Past Paper 2014

Short Answers

i), Compare accrual vs. cash basis accounting.

	Accrual Basis Accounting	Cash Basis Accounting
Revenue Recognition	Revenues are recognized when earned, regardless of when cash is received.	Revenues are recognized when cash is received.
Expense Recognition	Expenses are recognized when incurred, regardless of when cash is paid.	Expenses are recognized when cash is paid.
Matching Principle	Matches revenues and expenses with the correct accounting period.	Does not match revenues and expenses with the correct accounting period.
Suitability	Suitable for most businesses, especially those with complex transactions and inventory.	Suitable for small businesses or individuals with simple financial transactions.

ii. What is realization concept?

The realization concept, also known as the revenue recognition principle, states that revenue should only be recorded when it is earned and realizable, typically when goods have been delivered or services have been rendered, and there is reasonable certainty of payment. It prevents premature recognition of income and ensures consistency in financial reporting.

iii. Explain the double entry system of accounting.

The double-entry system is a fundamental accounting concept that requires every financial transaction to be recorded in at least two accounts – one as a debit and the other as a credit – of equal value. This system ensures that the accounting equation (Assets = Liabilities + Equity) remains balanced after every transaction. For example, when a company purchases equipment for cash, Equipment (asset) is debited, and Cash (asset) is credited.

iv. Define contra asset account.

A contra asset account is an asset account with a credit balance, which is contrary to the normal debit balance of asset accounts. It is used to reduce the value of a related asset on the balance sheet. Common examples include:

- **Accumulated Depreciation:** Offsets Fixed Assets.
- **Allowance for Doubtful Accounts:** Offsets Accounts Receivable.

These accounts help present assets at their net realizable value.

v. Distinguish between book value and market value.

Book Value	Market Value
Book value represents the value of an asset or liability as recorded in the company's financial records.	Market value represents the current price at which an asset or liability can be bought or sold in the market.
Book value is typically based on the historical cost of the asset or liability.	Market value is often referred to as fair value, which reflects the amount that would be received in a transaction between willing parties.
Book value may be adjusted for depreciation, amortization, or other accounting entries.	Market value can fluctuate with changes in market conditions, supply and demand, and other factors.
Book value is used for internal accounting and tax purposes	Market value reflects real-time valuation and investor sentiment.

vi. Define Accrued Expenses.

Accrued expenses are liabilities for costs that have been incurred during an accounting period but have not yet been paid or recorded by the end of that period. Examples include unpaid wages, interest expense, and utility bills. These are recorded through adjusting journal entries to ensure expenses are recognized in the period in which they are incurred, complying with the matching principle.

vii. Distinguish between Periodic and Perpetual Inventory System.

	Perpetual Inventory System:	Periodic Inventory System
Definition	Continuously updates inventory records after every purchase and sale of goods.	Updates inventory records at specific intervals (monthly, quarterly, or annually).
Cost of Goods Sold (COGS)	Calculated immediately after each sale.	Calculated at the end of the period using the formula: $\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$
Suitability	Suitable for large businesses.	Suitable for small businesses.
Example:	A supermarket using barcode scanners to update inventory instantly.	A small retail store counting inventory at the end of each month.

viii. What is Just-In-Time (JIT) Inventory System?

The Just-In-Time (JIT) inventory system is an inventory management strategy that aligns raw material orders from suppliers directly with production schedules. Materials are delivered just in time to be used in the manufacturing process, reducing inventory holding costs and waste. While it increases efficiency, it also requires a highly reliable supply chain and precise demand forecasting.

ix. Differentiate between FIFO and LIFO methods.

FIFO (First-In, First-Out)	LIFO (Last-In, First-Out)
Assumes that the oldest inventory items are sold or used first.	Assumes that the newest inventory items are sold or used first.
Matches the oldest costs with revenue, which can lead to higher profits during periods of rising prices.	Matches the newest costs with revenue, which can lead to lower profits during periods of rising prices.
Suitable for companies with perishable goods or products with a limited shelf life.	Suitable for companies that want to match current costs with revenue, especially during periods of rising prices.

x. How is total asset turnover computed? Why would a financial statement user be interested in total asset turnover?

Total Asset Turnover Computation

Total asset turnover is computed by dividing net sales by average total assets:

$$\text{Total Asset Turnover} = \text{Net Sales} / \text{Average Total Assets}$$

Why Financial Statement Users Are Interested in Total Asset Turnover

1. **Efficiency Measurement:** Total asset turnover measures a company's efficiency in using its assets to generate sales.
2. **Asset Utilization:** It indicates how well a company is utilizing its assets to produce revenue.
3. **Comparison:** Financial statement users can compare total asset turnover across companies or industries to evaluate relative efficiency.
4. **Trend Analysis:** Analyzing changes in total asset turnover over time can help identify trends in a company's asset utilization and sales generation.

Users Interested in Total Asset Turnover

1. **Investors:** To evaluate a company's ability to generate sales from its assets.
2. **Creditors:** To assess a company's ability to repay debts.
3. **Management:** To identify areas for improvement in asset utilization.

By analyzing total asset turnover, financial statement users can gain insights into a company's efficiency and effectiveness in using its assets to generate sales.

Question 3

Brushstroke Art Studio
Adjusting Entries
As on December 31, 2005.

Date	Particulars	L.F	Dr.\$	Cr.\$
31st December	Supplies expense		5000	
	Supplies (6000-1000)			5000
	(Supplies used become expense)			
31st December	Studio (revenue) rent expense		1667	
	Prepaid studio rent			1667
	(Advance rent is expired)			
31st December	Depreciation expense: Studio equipment		800	
	Accumulated Depreciation: Studio Equipment			800
	(To record Depreciation expense)			
31st December	Interest expense		240	
	Interest payable			240
	(To record accrued interest expense)			
31st December	Unearned client fee		3000	
	Client fee earned			3000
	(To record unearned fee is earned)			
31st December	Client fee receivable		690	
	Client fee earned			690
	(To record uncollected fee is earned)			
31st December	Salary expense		750	
	Salary payable			750
	(To record salary expense accrued in December)			
31st December	Income taxes expense		2000	
	Income taxes payable			2000
	(To record income tax accrued in December)			

Computations:

1. Supply Expense:

Supplies on hand = \$1000

Supplies used = 6000 - 1000 = \$5000

2. Prepaid Rent:

1 Month rent = $\frac{2500}{3}$ = \$833

Used rent = 2 months = 2500 - 833 = \$1667

3. Depreciation: Equipment:

Cost of Equipment = \$96000

Life = 120 months

Monthly Depreciation = $\frac{96000}{120} = \$800$

4. Interest on Note Payable:

Loan = \$24000, Rate = 12%

3 Months Interest = $24000 \times 12\% \times (3/12) = \720

480 already recorded = $720 - 480 = \$240$

5. Accrued Income tax:

Income tax payable = \$7000

Already recorded = \$5000

Adjustment needed = \$2000

Adjusted Trial Balance

	\$	\$
Cash	22,380	
Clients Fees Receivable	71,940	
Supplies	1,000	
Prepaid Studio Rent	833	
Studio Equipment	96,000	
Accumulated Depreciation: Studio Equipment		52,800
Accounts Payable		6,420
Notes Payable		24,000
Interest Payable		720
Unearned Client fees		5,000
Income Taxes Payable		7,000
Capital Stock		50,000
Retained Earnings		20,000
Client Fees Earned		86,000
Supply Expense	9,000	
Salary Expense	18,000	
Interest Expense	720	
Studio Rent Expense	12,917	
Utilities Expense	3,300	
Depreciation Expense: Studio Equipment	9,600	
Income Taxes Expense	7,000	
Salary Payable		750
Total	252,690	252,690

Question 4

Explorer Inc.

a). Total Manufacturing Cost:

Total Manufacturing Cost = Direct Material Cost + Direct Labour Cost + Manufacturing Overheads

$$\text{Total Manufacturing Cost} = 700,000 + 800,000 + 1,280,000$$

$$\boxed{\text{Total Manufacturing Cost} = \$2,780,000}$$

b). Cost of Finished Goods Manufactured:

Cost of Finished Goods Manufactured = Units complete X Cost per unit

$$\text{Cost of Finished Goods Manufactured} = 50 \times 52,000$$

$$\boxed{\text{Cost of Finished Goods Manufactured} = \$2,600,000}$$

c). Cost of Goods Sold:

Cost of Goods Sold = Units Sold X Cost per unit

$$\text{Cost of Goods Sold} = 48 \times 52,000$$

$$\boxed{\text{Cost of Goods Sold (COGS)} = \$2,496,000}$$

d). Gross Profit on Sale:

Sales Revenue = Units sold X Selling price per unit

$$\text{Sales Revenue} = 48 \times 80,000$$

$$\text{Sales Revenue} = \$3,840,000$$

Gross Profit = Sale - Cost of Goods Sold

$$\text{Gross Profit} = 3,840,000 - 2,496,000$$

$$\boxed{\text{Gross Profit} = \$1,344,000}$$

Question 5

Play Land
Income Statement
For the December 31, 1994.

	\$	\$
Admission Revenue		192,000
Less: Operating Expenses		
Rent Expense	36,000	
Repairs expense	5,200	
Salaries expense	79,000	
Light & power expense	4,500	
Depreciation expense: Building	6,000	
Depreciation expense: Golf Course Structure	15,000	
Advertising expense	15,000	(160,700)
= Net Income/ Net Profit		31,300

Play Land
Statement of Owner's Equity
For the December 31, 1994.

	\$
Beginning Capital	108,000
Add: Net Profit	31,300
Less: Drawings	(25,000)
Ending Capital	114,300

Play Land
Balance Sheet
As on December 31, 1994.

Assets	\$	Liabilities & Owner's Equity	\$
Cash	13,500	Accounts Payable	7,700
Accounts Receivable	2,800	Salaries Payable	2,300
Building 60,000		Capital Stock	114,300
Less: Accumulated Depreciation (12,000)	48,000		
Golf Course Structure 90,000			
Less: Accumulated Depreciation (30,000)	60,000		
Total Assets	124,300	Total Liabilities & Owner's Equity	124,300

Past Paper 2018

Short Answers

i. What is meant by Just In Time (JIT) Inventory System?

The Just-In-Time (JIT) inventory system is an inventory management strategy that aligns raw material orders from suppliers directly with production schedules. Materials are delivered just in time to be used in the manufacturing process, reducing inventory holding costs and waste. While it increases efficiency, it also requires a highly reliable supply chain and precise demand forecasting.

ii. Define Plant Assets.

Plant Assets, also known as fixed assets or property, plant, and equipment (PP&E), are long-term tangible assets used in the operation of a business that are not intended for resale. Examples include buildings, machinery, land, and vehicles. These assets are depreciated over their useful lives (except land), and they are reported on the balance sheet at historical cost minus accumulated depreciation.

iii. Define Stockholders.

Stockholders, or shareholders, are the owners of a corporation. They hold shares of stock representing a claim on part of the company's assets and earnings. Stockholders can be classified as:

- **Common stockholders**, who have voting rights and may receive dividends.
- **Preferred stockholders**, who usually have no voting rights but receive fixed dividends before common stockholders. They influence major corporate decisions through voting in annual meetings.

iv. What is Conservation Concept?

The Conservatism Principle in accounting states that when there is uncertainty, accountants should choose the solution that results in lower profits and asset values rather than overstatement. This principle ensures that expenses and liabilities are recorded as soon as they are probable, but revenues and assets are only recognized when they are assured. It provides a prudent view of financial health, protecting users from over-optimism.

v. Define Depletion.

Depletion is the accounting method used to allocate the cost of natural resources—such as oil reserves, timber, coal, or minerals—over the period they are extracted and used. It is similar to depreciation but applies to non-renewable resources. The cost is charged to expense as the resource is consumed, helping match expense to revenue earned from those resources.

vi. What is meant by Operating Cycle?

The Operating Cycle is the period of time between the purchase of inventory (or raw materials) and the collection of cash from sales. It reflects how quickly a company can convert its inventory into cash and is a key measure of operational efficiency.

Formula:

$$\text{Operating Cycle} = \text{Inventory Period} + \text{Accounts Receivable Period}$$

vii. Define Factoring.

Factoring is a financing method in which a business sells its accounts receivable (invoices) to a third party (called a factor) at a discount. This provides immediate cash flow and transfers the collection responsibility to the factor.

Types:

- **Recourse factoring:** The business remains liable if the customer does not pay.
- **Non-recourse factoring:** The factor assumes the risk of non-payment.

viii. Define Capital Expenditures.

Capital Expenditures (CapEx) are long-term investments made by a company to acquire, maintain, or upgrade physical assets such as buildings, equipment, or technology. These expenditures are not expensed immediately but are capitalized and depreciated over time. CapEx reflects a company's strategy for growth and expansion.

ix. Define Net Profit Margin and give its Formula.

The Net Profit Margin is a key profitability ratio that shows the percentage of net income derived from total revenue after accounting for all expenses, taxes, and interest.

Formula:

$$\text{Net Profit Margin} = (\text{Net Income} / \text{Net Sales}) \times 100$$

x. Define Inventory Turnover Rate.

The Inventory Turnover Rate measures how many times a company sells and replaces its inventory during a specific period. It reflects inventory management efficiency and is used to evaluate how well the company turns stock into sales.

Formula:

$$\text{Inventory Turnover} = \text{Cost of Goods Sold (COGS)} / \text{Average Inventory}$$

Question 3

A. Journal Entries under Perpetual Inventory System

January 2: Sale to central state University

Date	Details	L.F	Dr. \$	Cr. \$
January 2	Cash Account		62,000	
	Sales Revenue Account			62,000
	(Sold Inventory)			

Date	Details	L.F	Dr. \$	Cr. \$
January 2	Cost of Goods Sold		37,200	
	Inventory Account			37,200
	(To record Cost of Goods Sold)			

B. Inventory balance on January 7

	\$
Beginning Inventory (Dec, 31)	120,000
Less: Cost of Goods Sold (Jan, 2)	(37,200)
Add: Purchases (Jan, 5)	80,000
Ending Inventory (Jan, 7)	162,800

C. Journal Entries under Periodic Inventory System:

January 2: Sale to Central Sate University

Date	Details	L.F	Dr. \$	Cr. \$
January 2	Cash Account		62,000	
	Sales Revenue Account			62,000
	(To record Sale Revenue)			

January 5: Purchase from Lunar Optics

Date	Details	L.F	Dr. \$	Cr. \$
January 5	Inventory Account		80,000	
	Account Payable			80,000
	(To record Purchases)			

D. Cost of Goods Sold for 1 week (Periodic System):

	\$
Beginning Inventory (Dec, 31)	120,000
Add: Purchases (Jan, 5)	80,000
Goods available for sale	200,000
Less: Ending Inventory	(162,800)
Cost of Goods Sold	37,200

Question: 4**A. Estimate amount of uncollectible Account****Aging Schedule**

Groups	Total Amount \$	X	Percentage	Estimated Bad Debts \$
Not yet due	333,000	X	1%	3,330
1-30 days past due	135,000	X	3%	4,050
31-60 days past due	58,500	X	10%	5,850
61-90 days past due	13,500	X	20%	2,700
Over 90 days past due	22,500	X	50%	11,250
	Dr. 562,500			Cr. 27,180

B. Adjusting Entry:

Date	Details	L.F	Dr. \$	Cr. \$
	Uncollected expense Account		19,080	
	Allowance for uncollected			19,080
	(To record the balance of Doubtful Debt)			

Closing allowance Cr. 27,180

Less: Beginning allowance Dr. 8100

Cr. 19,080

C. Balance Sheet

Current Assets	\$
Accounts Receivable at the end	562,500
Less: Allowance for uncollectible amount	(27,180)
Net Realizable Value	535,300

D. Write Off:

Date	Details	L.F	Dr. \$	Cr. \$
Jan 10	Allowance for Bad Debts		8,550	
	Accounts Receivable			8,550
	(One customer is bankrupt)			

Question: 5

**Internet Consulting Services, INC.
Adjusting Entries
For the year ended 31 Dec, 2017**

Date	Particulars	L.F	Dr.\$	Cr.\$
31st December	Office Rent expense		2100	
	Prepaid Office Rent Account			2100
31st December	Dues & Subscription expense		50	
	Dues & Subscription			50
31st December	Supplies expense		150	
	Supplies			150
31st December	Depreciation expense: Equipment		600	
	Accumulated Depreciation: Equipment			600
31st December	Interest expense		100	
	Interest payable			100
31st December	Unearned Consulting fee		2850	
	Consulting fee earned			2850
31st December	Consulting fee receivable		11000	
	Consulting fee earned			11000
31st December	Salary expense		1700	
	Salary payable			1700
31st December	Income taxes expense		6000	
	Income taxes payable			6000

Internet Consulting Services, INC.

Adjusted Trial Balance

	\$	\$
Cash	49,100	
Consulting Fees Receivable	34,400	
Prepaid Office Rent	4,200	
Prepaid Dues and Subscription	250	
Supplies	450	
Equipment	36,000	
Accumulated Depreciation: Equipment		10,800
Notes Payable		5,000
Income Tax Payable		18,000
Unearned Consulting fees		3,100
Capital Stock		30,000
Retained Earnings		32,700
Dividends	60,000	
Consulting Fees Earned		271,030
Salaries Expense	90,520	
Telephone Expense	2,550	
Rent Expense	24,100	
Income Tax Expense	54,000	
Dues and Subscription Expense	610	
Supplies Expense	7,200	
Depreciation Expense: Equipment	1,750	
Miscellaneous Expense	4,200	
Interest Payable		100
Salaries Payable		1,700
Interest Expense	100	
	372,430	372,430

Internet Consulting Services, INC.

Income Statement

For the year ended 31 Dec, 2017

	\$	\$
Revenues:		
Consulting Fees Earned		271,030
Expenses:		
Salary Expense	90,520	
Telephone Expense	2550	
Rent Expense	24,100	
Income Tax Expense	57,000	
Dues and Subscription Expense	610	
Depreciation Expense: Equipment	7200	
Supplies Expense	1750	
Miscellaneous Expense	4200	
Interest Expense	100	188,030
Net Income		83,000

Past Paper 2023

Short Answers.

1. Discuss the relationship among the income statement, the statement of retained earnings, and the balance sheet.

The income statement, statement of retained earnings, and balance sheet are interconnected financial statements that provide a comprehensive picture of a company's financial performance and position.

Income Statement

The income statement shows revenues, expenses, and net income (or loss) for a specific period. It provides insight into a company's ability to generate profits.

Statement of Retained Earnings

The statement of retained earnings shows the changes in retained earnings over a period. Retained earnings represent the accumulated profits (or losses) of a company that have not been distributed to shareholders as dividends. The statement of retained earnings connects the income statement to the balance sheet.

Balance Sheet

The balance sheet provides a snapshot of a company's financial position at a specific point in time, including its assets, liabilities, and equity. The balance sheet is affected by the net income (or loss) reported on the income statement, which flows through to retained earnings on the statement of retained earnings.

Relationship among the Statements:

1. **Net Income:** The income statement's net income (or loss) is reported on the statement of retained earnings, which affects the retained earnings balance.
2. **Retained Earnings:** The ending retained earnings balance on the statement of retained earnings is reported on the balance sheet under equity.
3. **Equity:** The balance sheet's equity section includes retained earnings, which reflects the accumulated profits (or losses) of the company.

2. Do adjusting entries affect income statement accounts, balance sheet accounts, or both? Explain.

Adjusting entries affect both income statement accounts and balance sheet accounts.

Impact on Financial Statements

1. **Income Statement Accounts:** Adjusting entries can affect revenue or expense accounts, which are reported on the income statement. For example, accrued revenues or expenses might be recorded to match the correct period.
2. **Balance Sheet Accounts:** Adjusting entries can also affect asset or liability accounts, which are reported on the balance sheet. For example, prepaid expenses might be adjusted to reflect the correct amount of expense incurred.

Examples of Adjusting Entries

1. **Accrued Expenses:** Record expenses incurred but not yet paid (e.g., salaries, utilities).
2. **Accrued Revenues:** Record revenues earned but not yet received (e.g., services performed).
3. **Prepaid Expenses:** Adjust prepaid expenses to reflect the correct amount of expense incurred.
4. **Unearned Revenues:** Adjust unearned revenues to reflect the correct amount of revenue earned.

3. How do accrued but unpaid expenses affect the balance sheet?

Accrued but unpaid expenses, also known as accrued liabilities or accrued expenses payable, affect the balance sheet in the following way:

Accrued Expenses on the Balance Sheet

1. **Current Liability:** Accrued expenses are recorded as a current liability on the balance sheet, typically under accounts payable or accrued expenses payable.
2. **Increase in Liability:** When accrued expenses are recorded, the liability account increases, reflecting the amount owed but not yet paid.

Example:

Suppose a company has accrued salaries of \$10,000 that have not been paid. The journal entry would be:

Debit: Salaries Expense (\$10,000)

Credit: Accrued Salaries Payable (\$10,000)

In this case, the accrued salaries payable would be reported as a current liability on the balance sheet.

4. Explain the need for closing entries and describe the process by which temporary owners' equity accounts are closed at year-end.

Why Closing Entries Are Needed

1. **Accurate Financial Reporting:** Ensure that financial statements accurately reflect the financial position and performance of the company.
2. **Matching Principle:** Match revenues and expenses with the correct accounting period.
3. **Preparation for Next Period:** Prepare temporary accounts for the next accounting period by resetting their balances to zero.

Purpose of Closing Entries

1. **Reset Temporary Accounts:** Close temporary accounts, such as revenue and expense accounts, to prepare them for the next accounting period.
2. **Update Retained Earnings:** Transfer the net income (or loss) to retained earnings, which is a permanent equity account.

Process of Closing Temporary Owners' Equity Accounts

1. **Identify Temporary Accounts:** Identify the temporary accounts to be closed, including revenue and expense accounts.
2. **Close Revenue Accounts:** Debit each revenue account and credit the income summary account.
3. **Close Expense Accounts:** Credit each expense account and debit the income summary account.
4. **Close Income Summary Account:** If there's a net income, debit the income summary account and credit retained earnings. If there's a net loss, credit the income summary account and debit retained earnings.
5. **Close Dividends Account:** Debit retained earnings and credit the dividends account (if applicable).

Example:

Suppose a company has the following temporary accounts:

- Revenue: \$100,000
- Expenses: \$80,000
- Dividends: \$5,000

The closing entries would be:

1. **Close revenue accounts:** Debit Revenue (\$100,000) and credit Income Summary (\$100,000).
2. **Close expense accounts:** Debit Income Summary (\$80,000) and credit Expenses (\$80,000).
3. **Close income summary account:** Debit Income Summary (\$20,000) and credit Retained Earnings (\$20,000).
4. **Close dividends account:** Debit Retained Earnings (\$5,000) and credit Dividends (\$5,000).

By closing temporary accounts, companies can ensure that their financial statements accurately reflect their financial position and performance.

5. Explain the need for subsidiary ledgers in accounting for merchandising activities

Subsidiary ledgers are necessary for several reasons:

Purpose of Subsidiary Ledgers

1. **Detailed Information:** Provide detailed information about specific accounts, such as accounts receivable or accounts payable.
2. **Efficient Record-Keeping:** Allow for efficient record-keeping and reduce the complexity of the general ledger.
3. **Improved Accuracy:** Help ensure accuracy by providing a separate record of transactions for each account.

Benefits of Subsidiary Ledgers:

1. **Better Customer and Supplier Management:** Provide detailed information about customer and supplier accounts, enabling better management of relationships and cash flow.
2. **Improved Financial Reporting:** Enable accurate and timely financial reporting, including accounts receivable and accounts payable aging reports.
3. **Enhanced Internal Control:** Help ensure internal control by providing a separate record of transactions that can be reconciled with the general ledger.

Example:

A company like Walmart might use subsidiary ledgers to track its accounts receivable from various customers, such as other businesses or government agencies. The subsidiary ledger would provide detailed information about each customer's account, including amounts owed, payment history, and any outstanding balances.

By using subsidiary ledgers, companies can efficiently manage their accounts receivable and accounts payable, improve financial reporting, and enhance internal control.

6. Briefly contrast the accounting procedures in perpetual and periodic inventory systems.

Perpetual and Periodic Inventory Systems are two methods of tracking inventory in a business:

	Perpetual Inventory System:	Periodic Inventory System
Definition	Continuously updates inventory records after every purchase and sale of goods.	Updates inventory records at specific intervals (monthly, quarterly, or annually).
Cost of Goods Sold (COGS)	Calculated immediately after each sale.	Calculated at the end of the period using the formula: $\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$
Advantages	Provides accurate inventory levels, detects theft, and identifies stock shortages immediately.	Simpler and less costly to maintain.
Example:	A supermarket using barcode scanners to update inventory instantly.	A small retail store counting inventory at the end of each month.
Cost	Generally more expensive due to technology and software requirements.	Less expensive due to fewer tracking requirements.
Suitability	Best for business with high-value or frequently moving inventory.	Suitable for small businesses with low-value or slow-moving inventory.

Question: 2**Part a).****1. Net Cost:**

Mary, TV
General Journal

Date	Details	L.F	Debit \$	Credit \$
6 March	Inventory Account		2744	
	Accounts Payable			2744
	(To record purchase of 8 TVs @350 = \$2800 less 2%, Discount = 2800-56)			
11 March	Cash Account		1200	
	Sales Account			1200
	(Sold 2 TVs @600 for cash)			
11 March	Cost of Goods Sold		686	
	Inventory Account			686
	(Record 2 TVs @350 less 2%, Discount = 700-14)			
16 March	Accounts Payable		2744	
	Cash Account			2744
	(Paid amount within discount period)			

Part b).**1. Net Cost:**

Mary, TV
General Journal

Date	Details	L.F	Debit \$	Credit \$
6 April	Accounts Payable		2744	
	Purchase Discount lost		56	
	Cash Account			2800
	(Paid after discount period expired)			

Part a).

2. Gross Invoice Price:

Mary, TV
General Journal

Date	Details	L.F	Debit \$	Credit \$
6 March	Inventory Account		2800	
	Accounts Payable			2800
	(To record purchase of 8 TVs at gross price)			
11 March	Cash Account		1200	
	Sales Account			1200
	(To record the sale of 2 TVs @600)			
11 March	Cost of Goods Sold		700	
	Inventory Account			700
	(To record cost of TVs sold)			
16 March	Accounts Payable		2800	
	Cash Account			2744
	Discount taken			56
	(To record the amount of Accounts Payable & Discount taken)			

Part b).

2. Gross Invoice Price:

Mary, TV
General Journal

Date	Details	L.F	Debit \$	Credit \$
6 April	Accounts Payable		2744	
	Cash Account			2800
	(Paid after discount period expired)			

Question: 3

Jan's Dance Studio
Income Statement
For the Year ended 31 December , 2011.

	\$	\$
Revenues:		
Studio Revenue Earned		165,000
Expenses:		
Salary Expense	85,000	
Supplies Expense	3900	
Rent Expense	12,000	
Insurance Expense	1900	
Advertising Expense	500	
Depreciation Expense: Equipment	1800	
Interest Expense	900	
Income Tax Expense	23000	(129,000)
Net Income		36000

Jan's Dance Studio
Statement of Retained earnings
For the Year ended 31 December, 2011.

	\$
Beginning Retained Earnings	40,000
Add: Net Income	36,000
Less: Dividends	(6,000)
Ending Retained Earnings	70,000

Jan's Dance Studio
Balance Sheet
As on 31 December, 2011

Assets	\$	Liabilities & Owner's Equity	\$
Cash	171,100	Notes Payable	10,000
Accounts Receivable	9,400	Accounts Payable	3,200
Prepaid Studio Rent	3,000	Salaries Payable	4,000
Unexpired Insurance	7,200	Income Taxes Payable	6,000
Supplies	500	Unearned Studio Revenue	8,800
Equipment 18,000		Capital Stock	100,000
Accumulated Depreciation: Equipment (7,200)	10,800	Retained Earnings	70,000
Total Assets	202,000	Total Liabilities & Equity	202,000

Group: 4

2015, 2019, 2024

Roll No. 07, 13, 17, 21, 29, 33, 36, 40, 47

Past Paper 2015

Short Answers

i. Operating Cycle of a Merchandising Company

The **operating cycle** of a merchandising company is the period of time it takes for the company to purchase inventory, sell the inventory, and then collect the cash from the sale. In simple terms, it's the time it takes for cash to flow back into the business after being spent on inventory.

- **Formula:**

Operating Cycle = Inventory Period + Receivables Period

Components:

- **Inventory Period:** The time it takes to sell inventory.
- **Receivables Period:** The time it takes to collect cash from customers after a sale.

ii. Financial Assets with Example

Financial assets are assets that represent a claim to future cash flows or a right to receive future economic benefits. They are typically liquid and can be traded in financial markets.

- **Examples:**

- **Cash:** Money the company holds.
- **Stocks and Bonds:** Investments in other companies or governments.
- **Accounts Receivable:** Amounts owed to the company by customers.
- **Loans:** Money lent to others.

These assets are often classified as either current or non-current based on their expected liquidity.

iii. Three Liquidity Ratios

Liquidity ratios measure a company's ability to meet its short-term obligations. Three key liquidity ratios are:

1. Current Ratio:

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

2. Quick Ratio (Acid-Test Ratio):

$$\text{Quick Ratio} = \frac{\text{Current Assets} - \text{Inventory}}{\text{Current Liabilities}}$$

3. Cash Ratio:

$$\text{Cash Ratio} = \frac{\text{Cash and Cash Equivalents}}{\text{Current Liabilities}}$$

These ratios help assess a company's ability to pay off short-term debts using its most liquid assets.

iv. Difference Between LIFO and FIFO

- **LIFO (Last In, First Out):**
 - The most recent inventory purchased is the first to be sold.
 - During times of rising prices, LIFO results in higher cost of goods sold (COGS) and lower net income.
 - Results in inventory being valued at older (cheaper) costs.
- **FIFO (First In, First Out):**
 - The earliest inventory purchased is the first to be sold.
 - During times of rising prices, FIFO results in lower COGS and higher net income.
 - Results in inventory being valued at more recent (higher) costs.

v. Difference Between Journal and Journalizing

- **Journal:**

A **journal** is a chronological record of all financial transactions of a business. It includes details like the date, amounts, accounts involved, and the nature of the transaction.

 - Example: **Cash sales** entry is recorded in the journal.
- **Journalizing:**

Journalizing is the process of recording business transactions in the journal. It involves identifying the accounts affected, determining the debit and credit entries, and recording the transaction.

vi. Cost Principle

The **Cost Principle** in accounting states that assets should be recorded and reported at their **historical cost**—the amount paid for the asset at the time of purchase—not at its current market value.

- **Example:** If a company buys land for \$100,000, it should report the land at this historical cost, even if its market value rises to \$150,000.

vii. Bank Reconciliation Statement

A **Bank Reconciliation Statement** is a process used to reconcile the balance in a company's bank account with its recorded cash balance in the books. This helps to identify any discrepancies due to timing differences, errors, or unrecorded transactions like deposits in transit or outstanding checks.

- **Purpose:** To ensure the company's records align with the bank's records.
- **Adjustments:** Includes adjusting for items like bank fees, direct deposits, or checks that have not yet cleared.

viii. Working Capital and Its Formula

Working Capital represents the difference between a company's current assets and current liabilities. It indicates the short-term financial health and operational efficiency of a business.

- **Formula:**

$$\text{Working Capital} = \text{Current Assets} - \text{Current Liabilities}$$

- **Interpretation:**

- A positive working capital indicates the company can meet its short-term obligations.
- A negative working capital suggests the company might struggle with short-term liabilities.

ix. Periodic Inventory System

The **Periodic Inventory System** is a method where inventory levels and cost of goods sold (COGS) are updated only at specific intervals (usually monthly, quarterly, or annually). The company does not track inventory on a daily basis but conducts a physical count at the end of the period to determine the ending inventory.

- **Inventory Calculation:**

- $\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$

- **Pros:** Simpler and less costly to maintain.
- **Cons:** Less real-time data, which could lead to stockouts or overstocking.

x. Retained Earnings

Retained Earnings refers to the portion of a company's profits that are kept within the company and not paid out as dividends to shareholders. These earnings are used for reinvestment in the business or to pay off debt.

- **Formula:**

$$\text{Retained Earnings} = \text{Beginning Retained Earnings} + \text{Net Income} - \text{Dividends Paid}$$
$$\text{Retained Earnings} = \text{Beginning Retained Earnings} + \text{Net Income} - \text{Dividends Paid}$$

- **Importance:** Retained earnings reflect the cumulative amount of profits that have been reinvested in the business over time, rather than distributed to shareholders.

Question No. 2

Dell, Inc.

Bank Reconciliation Statement

As of December 31, 2014

	\$
Balance as per Bank Statement	Cr. 114,828
Add: Cash received but left in Bank Statement	Cr. 16,000
	Cr. 130,828
Less: Outstanding Checks	Dr. (1,114)
▪ Cheque No. 811 314	
▪ Cheque No. 814 625	
▪ Cheque No. 823 175	
Adjusting Cash Balance	Cr. 129,714
Balance as per Depositor's Record	Dr. 125,568
Add: Notes Receivable collected by bank	Dr. 4,000
	Dr. 129,568
Add: Cheque paid but wrongly credited by bank	Dr. 396
	Dr. 129,964
Less: Service charges	Cr. (50)
	Dr. 129,914
Less: NSF check	Cr. (200)
Adjusting Cash Balance	Dr. 129,714

Question No: 4**Modern Consulting Services, INC.****Adjusting Entries****December 31 , 2014**

Date	Particulars	L.F	Dr.\$	Cr.\$
31st December	Office Rent expense		2100	
	Prepaid Office Rent Account			2100
31st December	Dues & Subscription expense		50	
	Dues & Subscription			50
31st December	Supplies expense		150	
	Supplies			150
31st December	Depreciation expense: Equipment		600	
	Accumulated Depreciation: Equipment			600
31st December	Interest expense		100	
	Interest payable			100
31st December	Unearned Consulting fee		2850	
	Consulting fee earned			2850
31st December	Consulting fee receivable		11000	
	Consulting fee earned			11000
31st December	Salary expense		1700	
	Salary payable			1700
31st December	Income taxes expense		6000	
	Income taxes payable			6000

Modern Consulting Services, INC.

Adjusted Trial Balance

December 31, 2014

	\$	\$
Cash	49,100	
Consulting Fees Receivable	34,400	
Prepaid Office Rent	4,200	
Prepaid Dues and Subscription	250	
Supplies	450	
Equipment	36,000	
Accumulated Depreciation: Equipment		10,800
Notes Payable		5,000
Income Tax Payable		18,000
Unearned Consulting fees		3,100
Capital Stock		30,000
Retained Earnings		32,700
Dividends	60,000	
Consulting Fees Earned		271,030
Salaries Expense	90,520	
Telephone Expense	2,550	
Rent Expense	24,100	
Income Tax Expense	54,000	
Dues and Subscription Expense	610	
Supplies Expense	7,200	
Depreciation Expense: Equipment	1,750	
Miscellaneous Expense	4,200	
Interest Payable		100
Salaries Payable		1,700
Interest Expense	100	
	372,430	372,430

Modern Consulting Services, INC.

Income Statement

December 31 , 2014

	\$	\$
Revenue:		
Consulting fee Earned		271,030
Expenses:		
Salary Expense	90,520	
Telephone Expense	2550	
Rent Expense	24,100	
Income tax Expense	56,000	
Dues & Subscription Expense	610	
Supplies Expense	1750	
Depreciation Expense: Equipment	7200	
Miscellaneous Expense	4200	
Interest Expense	100	(187030)
Net Income		84000

Question No. 5**SUMS INC.****Statement of Cash Flow****For the year ended Dec 31, 2014**

Cash Flow from Operating Activities	\$	\$
Cash Received from customers	795,000	
Less: Cash paid to supplier and manager	(6354,000)	
Add: Interest & Dividend received	27,000	
Less: Interest paid	(19,000)	
Less: Income tax paid	(71,000)	
= Net Cash flow from Operating Activities		97,000
Cash flow Investing Activities		
Cash paid to acquire plant Assets	(21,000)	
Add: Sale of plant assets	9000	
Less: Loan made to borrowers	(5000)	
Add: Collecting of loan (excluding interest)	4000	
= Net cash flow from investing activities		(13,000)
Cash flow from Financing Activities		
Proceed from short term borrowing	10,000	
Less: Dividends paid	(55,000)	
= Net cash from financing activities		(45,000)
= Net increase in cash		39,000
Add: Cash & Cash Equivalent. Jan 1		35,800
= Cash & Cash Equivalent, Dec 31.		74,800

Past Paper 2019

Short Answers

i. Lower-of-Cost-or-Market (LCM)

The **Lower-of-Cost-or-Market (LCM)** rule is a conservative accounting principle applied to inventory valuation. Under this rule, inventory is reported at the lower of either its **historical cost** or its **market value** (net realizable value).

- **Historical Cost** refers to the price paid to acquire the inventory, including any costs incurred to bring it to its current location and condition.
- **Market Value** refers to the current replacement cost of the inventory, but cannot exceed the net realizable value (the estimated selling price less any costs to sell) and cannot be less than the net realizable value minus a normal profit margin.

The purpose of LCM is to prevent overstatement of inventory value on the balance sheet. If the market value of inventory falls below its cost, a write-down is required to reflect the decline in value.

Example: If a company purchases inventory at \$100 per unit, but the market value of the inventory has dropped to \$80, the inventory will be written down to \$80, as it is lower than the original cost.

ii. Intangible Assets

Intangible Assets are non-physical, long-term assets that provide value to a company due to their intellectual or legal rights. Unlike tangible assets like machinery or buildings, intangible assets do not have a physical substance but still contribute significantly to a business's value.

Common types of intangible assets include:

- **Patents:** Exclusive rights granted for inventions, giving the holder the right to exclude others from making, using, or selling the invention.
- **Trademarks:** Protects the brand identity (e.g., logos, names) of products or services.
- **Copyrights:** Protects creative works such as books, music, and software.
- **Goodwill:** The excess value paid during an acquisition over the fair value of net assets; reflects the value of a company's brand, customer relationships, and reputation.
- **Franchise Rights:** Legal rights to operate a franchise under an established brand.

These assets are often amortized over their useful lives, meaning their value is expensed gradually over time.

iii. Residual Value

Residual Value (also called **Salvage Value**) is the estimated amount an asset is expected to be worth at the end of its useful life, after it has been fully depreciated. It is the estimated net value that can be obtained when the asset is disposed of, sold, or traded in.

- **Calculation in Depreciation:** When calculating depreciation, the residual value is subtracted from the asset's initial cost, and the remaining amount is depreciated over the asset's useful life.

For example, if a machine costs \$10,000, and the estimated residual value after 5 years is \$2,000, the total depreciable amount is \$8,000.

iv. Net Realizable Value (NRV)

Net Realizable Value (NRV) refers to the estimated selling price of an asset in the ordinary course of business, minus any costs to sell, dispose of, or complete the asset.

- **For Inventory:** It represents the estimated price the company can sell the inventory for in the market, minus any costs such as shipping, taxes, and handling.
- **For Accounts Receivable:** It is the amount of money a company expects to collect from customers, after adjusting for potential bad debts.

The purpose of NRV is to assess whether the carrying amount of an asset should be adjusted, especially if the market value or collectability is lower than the asset's book value.

v. Marketable Securities

Marketable Securities are financial instruments or assets that can be quickly converted into cash at a reasonable price. These securities are typically held by a company as short-term investments and are easily traded in the financial markets.

Common examples include:

- **Stocks** (shares of publicly traded companies)
- **Bonds** (government or corporate bonds)
- **Treasury bills**
- **Money market instruments**

Marketable securities are typically classified as **current assets** because they are highly liquid and expected to be sold or redeemed within a year.

vi. Aging the Accounts Receivable

Aging the Accounts Receivable refers to the process of categorizing outstanding accounts receivable by the length of time an invoice has been overdue. This helps a company assess the likelihood of collecting payment and manage credit risk.

The typical aging categories might be:

- **0-30 days:** Accounts that are current or just past due.
- **31-60 days:** Accounts that are moderately overdue.
- **61-90 days:** Accounts that are significantly overdue.
- **90+ days:** Accounts that are severely overdue and at high risk of being uncollectible.

By aging receivables, businesses can take actions like sending reminders, calling customers, or writing off uncollectible accounts to minimize bad debt.

vii. Straight-Line Depreciation

Straight-Line Depreciation is a method of allocating the cost of a tangible fixed asset over its useful life evenly. Under this method, the same amount of depreciation expense is recorded each period until the asset's value reaches its residual value.

- **Formula:**

$$\text{Annual Depreciation} = \frac{\text{Cost of Asset} - \text{Residual Value}}{\text{Useful Life}}$$

For example, if a machine costs \$10,000, has a residual value of \$1,000, and a useful life of 5 years, the annual depreciation expense would be:

$$10,000 - 1,000 \div 5 = 1,800 \text{ per year} \quad \frac{10,000 - 1,000}{5} = 1,800 \text{ per year}$$

The asset is depreciated evenly across each year of its useful life.

viii. Bank Reconciliation

Bank Reconciliation is the process of comparing a company's cash balance as recorded in its accounting records to the balance shown on its bank statement. The goal is to identify any discrepancies between the two records and adjust for timing differences or errors.

Steps involved in a bank reconciliation:

- **Adjust the bank statement:** Add deposits in transit and subtract outstanding checks or withdrawals that haven't been processed by the bank.
- **Adjust the company's cash balance:** Account for errors, bank fees, or interest not yet recorded in the company's ledger.
- **Ensure both balances match:** After adjustments, both the company's cash balance and the bank's cash balance should be identical.

Bank reconciliations help identify errors, prevent fraud, and ensure that cash flow is accurately tracked.

ix. Amortization

Amortization is the process of gradually expensing the cost of an intangible asset over its useful life. Just like depreciation applies to tangible assets, amortization applies to intangible assets like patents, trademarks, and goodwill.

- **Amortization Expense:** The expense is typically recognized on a straight-line basis, spreading the cost evenly over the asset's useful life.

For example, if a patent costs \$5,000 and has a useful life of 10 years, the annual amortization expense would be:

$$\frac{5,000}{10} = 500 \text{ per year}$$

Amortization helps businesses match the expense of using intangible assets with the revenue they generate over time.

x. Periodic Inventory System

The **Periodic Inventory System** is an inventory tracking system where inventory levels are updated at specific intervals (e.g., monthly, quarterly, or annually) rather than continuously. Under this system, the company does not track inventory on a real-time basis but instead conducts a physical count at the end of the period to determine the ending inventory balance.

Key characteristics:

- **Inventory is updated periodically:** After conducting physical counts or inventory assessments at set intervals.
- **Cost of Goods Sold (COGS)** is determined at the end of the period through a formula:
 - $\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$
- **Simple to use** but less accurate than a perpetual system, as inventory counts and COGS are only updated periodically.

The system is less expensive to maintain but can lead to errors due to discrepancies in physical inventory counts and lack of real-time tracking.

Question No. 3**a). 1). Net Cost****Lamprino Appliance****General Journal**

Date	Particulars	L.F	Dr. \$	Cr. \$
10 June	Inventory		2940	
	Accounts Payable			2940
	(To record the purchase of 10 TVs at net cost of \$294 per unit, less 2%)			
15 June	Cash		450	
	Sales			450
	(Sold 1 TV for cash)			
15 June	Cost of Goods Sold		294	
	Inventory			294
	(To record cost of TV sold)			
20 June	Accounts Payable		2940	
	Cash			2940
	(Paid cash within discount period)			

2). Gross Invoice:**Lamprino Appliance****General Journal**

Date	Particulars	L.F	Dr. \$	Cr. \$
10 June	Inventory		3000	
	Accounts Payable			30000
	(To record the purchase of 10 TVs at gross price)			
15 June	Cash		450	
	Sales			450
	(Sold 1 TV for cash)			
15 June	Cost of Goods Sold		300	
	Inventory A/c			300
	(To record cost of TV sold)			
20 June	Accounts Payable		3000	
	Cash			2940
	Discount Received			60
	(Paid all account, less 2% discount)			

b). 1). Net Cost

General Journal

Date	Particulars	L.F	Dr. \$	Cr. \$
10 July	Accounts Payable		2940	
	Purchase Discount Lost		60	
	Cash			3000
	(Paid all account, less 2% discount)			

2). Gross Invoice:

General Journal

Date	Particulars	L.F	Dr. \$	Cr. \$
10 July	Accounts Payable		3000	
	Cash			3000
	(Paid after discount period expired)			

Question No. 4

a). Average Cost:

Date	Purchase			Sale			Balance		
	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C
Oct 1	2	3200	6000				2	3000	6000
Nov 17	3	3200	9600				5	3120	15600
Nov 21				4	3120	12480	1	3120	3120
Dec 1	4	3250	13000				5	3224	16120
						12480			16120

Cost of Goods Sold = 12480

Ending Inventory = 16120

b). FIFO:

Date	Purchase			Sale			Balance		
	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C
Oct 1	2	3200	6000				2	3000	6000
Nov 17	3	3200	9600				2	3000	6000
							3	3200	9600
Nov 21				2	3000	6000			
				2	3200	6400	1	3200	3200
Dec 1	4	3250	13000				1	3200	3200
							4	3250	13000
						12400			16200

Cost of Goods Sold = 12400

Ending Inventory = 16200

c). LIFO:

Date	Purchase			Sale			Balance		
	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C	Quantity	Unit Cost	T.C
Oct 1	2	3200	6000				2	3000	6000
Nov 17	3	3200	9600				2 3	3000 3200	6000 9600
Nov 21				3 1	3200 3000	9000 3000	1	3200	3000
Dec 1	4	3250	13000				1 4	3200 3250	3000 13000
						12600			16000

Cost of Goods Sold = 12600

Ending Inventory = 16000

Question No. 5

MYSTIC MASTERS.

Income Statement

For the year ended December 31, 2018.

	\$	\$
Revenues:		
Client Revenue Earned		52,000
Expenses:		
Insurance Expense	6,000	
Office Rent Expense	9,000	
Supplies	440	
Salary	48,000	
Depreciation Expense: Furniture & Fixtures	1,400	
Office and Telephone Expense	3,000	
Internet Service Expense	4,900	
Legal Expense	1,500	
Interest Expense	4,000	
Miscellaneous Expense	5,000	83,240
Net Loss		(31,240)

MYSTIC MASTERS.

Statement of Retained Earnings

For the year ended December 31, 2018.

	\$
Retained Earnings (01-01-2011)	2,600
Less: Net Loss	(31,240)
Retained Earnings (31-12-2011)	(28,640)

MYSTIC MASTERS.

Balance Sheet

December 31, 2018.

Assets	\$	Liabilities & Owner's Equity	\$
Cash	960	Accounts Payable	6540
Accounts Receivable	300	Notes Payable	24000
Unexpired Insurance	2000	Salaries Payable	1700
Prepaid Rent	1500	Interest Payable	360
Supplies	200	Unearned Client Revenue	200
Furniture & Fixtures 8400		Capital Stock	4,000
Accumulated Depreciation: Furniture & Fixtures (5200)	3200	Retained Earnings (28,640)	(24640)
Total Assets	8160	Total Liabilities & Owner' Equity	8160

MYSTIC MASTERS.

General Journal

At December 31, 2018.

Date 31 December 2018	Particulars	L.F	Dr. \$	Cr. \$
1.	Client Revenue Earned		52,000	
	Income Summary			52,000
	(To close revenue account)			
2.	Income Summary		83,240	
	Insurance expense			6,000
	Office Rent expense			9,000
	Supplies expense			440
	Salaries expense			48,000
	Depreciation expense			1,400
	Office & Telephone expense			3,000
	Internet Service expense			4,900
	Legal expense			1,500
	Interest expense			4,000
	Miscellaneous expense			5,000
	(To close all expense accounts)			
3.	Retained Earning		31,240	
	Income Summary			31,240
	(To close income summary account) 52,000 – 83,240 + 31,240 loss			

MYSTIC MASTERS.
After-Closing Trial Balance
December 31, 2018.

	\$	\$
Cash	960	
Accounts Receivable	300	
Unexpired insurance	2,000	
Prepaid rent	1,500	
Supplies	200	
Furniture & Fixtures	8,400	
Accumulated Depreciation: Furniture & Fixtures		5,200
Accounts Payable		6,540
Notes Payable		24,000
Salaries Payable		1,700
Interest Payable		360
Unearned client revenue		200
Capital Stock		4,000
Retained Earnings	28,640	
	42,000	42,000

Past Paper 2024

Short Answers

i. Purpose of Aging Analysis of Accounts Receivables

Aging analysis of accounts receivable is a key tool used by businesses to assess the status and quality of their outstanding receivables. The purpose of this analysis is to:

1. **Assess Credit Risk:** By classifying receivables based on how long they have been outstanding (usually in categories like 0-30 days, 31-60 days, 61-90 days, etc.), businesses can identify which accounts are overdue and might pose a higher risk of non-payment.
2. **Identify Collection Issues:** It helps the business spot problematic accounts that may require extra attention, like customers who consistently take longer to pay or accounts that are overdue for a longer period.
3. **Manage Cash Flow:** Aging analysis helps businesses anticipate future cash inflows based on the collection of accounts receivable, enabling better planning for liquidity and working capital management.

ii. Define the Term Depletion

Depletion is the process of allocating the cost of using natural resources over time as they are extracted and consumed. It's essentially the natural resource equivalent of **depreciation**, which applies to tangible, physical assets.

Key details:

- **Application:** Depletion applies to resources such as timber, minerals (like coal or gold), oil, and natural gas.
- **Methods:** The most common method of depletion is the **unit-of-production method**, where the cost is allocated based on the number of units extracted or produced. For example, if a company extracts 10,000 tons of coal and the cost of the resource is \$1 million, the depletion cost per ton is \$100.
- **Purpose:** The purpose of depletion is to match the expense of resource consumption with the revenue generated from its sale, ensuring accurate financial reporting.

iii. Difference Between Current Assets and Non-Current Assets

Current Assets	Non-Current Assets
Current Assets are assets that are expected to be converted into cash, consumed, or sold within one year or within the company's operating cycle (whichever is longer). These assets are essential for the daily functioning of a business.	Non-Current Assets (also called Long-Term Assets) are assets that will provide economic benefit to the business for more than one year. These are not intended to be sold or converted into cash in the short term.
Examples include: • Cash and Cash Equivalents: Funds the company has or can access quickly. • Accounts Receivable: Money owed to the company by customers. • Inventory: Goods held for sale or used in the production process. • Prepaid Expenses: Expenses paid in advance (e.g., insurance premiums).	Examples include: • Property, Plant, and Equipment (PPE): Tangible assets like land, buildings, and machinery. • Intangible Assets: Non-physical assets like patents, trademarks, goodwill, and copyrights. • Investments: Long-term investments that a company intends to hold for more than a year.

iv. Residual Value of an Asset

The **residual value** (or **salvage value**) is the estimated amount that an asset will be worth at the end of its useful life, after it has been fully depreciated. It represents the expected net amount the company can receive from selling or disposing of the asset.

- **Importance in Depreciation:** The residual value is used to calculate depreciation. For example, if an asset costs \$10,000 and is expected to have a residual value of \$1,000 after 5 years, the depreciable amount is \$9,000. This amount is then allocated over the asset's useful life.
- **Examples:** A car might have an initial cost of \$20,000, and after 10 years, it might have a residual value of \$2,000. For a building, the residual value could be the land value after the building is demolished.

The residual value can be important for tax purposes and for estimating the long-term financial impact of purchasing and using an asset.

v. Intangible Assets and Amortization

- **Intangible Assets** are non-physical assets that have long-term value to a business. These assets are typically related to intellectual property, proprietary information, or other non-tangible resources. Examples include:
 - **Patents:** Exclusive rights granted for inventions.
 - **Trademarks:** Brand names, logos, or other identifiers that distinguish a product.
 - **Goodwill:** The value associated with the company's brand reputation, customer base, and market position.
 - **Copyrights:** Protection for original works like books, music, and software.

- **Amortization** is the process of allocating the cost of intangible assets over their estimated useful life, similar to how depreciation is used for tangible assets. This expense is recognized periodically (usually annually) to match the expense with the revenue generated by the asset.
 - Unlike depreciation, which is applied to tangible assets, amortization is used only for intangible assets.
 - The straight-line method is the most common approach, where the total cost of the intangible asset is divided by its useful life.

vi. Periodic vs. Perpetual Inventory System

Periodic Inventory System	Perpetual Inventory System
In this system, inventory is updated only at specific intervals, such as at the end of the month, quarter, or year.	In this system, inventory is continuously updated as sales or purchases occur. Every transaction is recorded in real-time, usually with the help of barcode scanners or RFID technology.
Inventory is counted physically, and the cost of goods sold (COGS) is calculated after a physical count of the inventory.	This system provides up-to-date inventory data at all times, allowing businesses to track inventory movements constantly.
Advantages: Simplicity, lower cost in terms of record-keeping.	Advantages: Real-time tracking, more accurate inventory data, and better control over stock levels.
Disadvantages: Less real-time information, potential for inaccuracies, and it may require more frequent stock audits.	Disadvantages: Higher setup and operational costs, reliance on technology, and more complex to manage.

vii. Inventory and Inventory Shrinkage

- **Inventory:** Refers to the goods and materials that a company holds for the purpose of resale or use in the production of goods for sale. It is a crucial current asset for most businesses.
 - **Types of Inventory:**
 - **Raw Materials:** Basic materials used in production.
 - **Work-in-Progress (WIP):** Goods that are in the process of being made.
 - **Finished Goods:** Products ready for sale to customers.
- **Inventory Shrinkage:** Refers to the loss of inventory due to factors such as theft, damage, spoilage, or errors in inventory management. It is the difference between the recorded inventory and the actual physical inventory.
 - **Causes:** Theft by employees or customers, clerical errors, shrinkage due to obsolescence, or damage during storage or transportation.
 - **Impact:** Shrinkage leads to a reduction in inventory levels and may result in financial losses. Companies often use inventory control systems to minimize shrinkage and maintain accurate records.

viii. Major Categories of Property, Plant, and Equipment (PPE) as per IAS 16

IAS 16 outlines the accounting treatment for tangible fixed assets, known as **Property, Plant, and Equipment (PPE)**. The major categories of PPE are:

1. **Land:** Real estate owned by the company. Land is not depreciated, as it is considered to have an indefinite useful life.
2. **Buildings:** Structures that the company owns, such as factories, offices, or warehouses.
3. **Machinery:** Equipment used in production, manufacturing, or operations, such as machines, production lines, or tools.
4. **Vehicles:** Includes cars, trucks, delivery vehicles, and other transport assets.
5. **Furniture and Fixtures:** Office furniture, fixtures, or fittings used in the company's operations.
6. **Leasehold Improvements:** Enhancements made to leased properties that have a limited useful life, such as installing new air conditioning or reconfiguring office spaces.

ix. Deposit in Transit with Reference to Bank Reconciliation

A **deposit in transit** refers to money that has been deposited by the company, but is not yet reflected in the bank's records or statement at the time of reconciliation. This can happen because of timing differences—such as deposits made at the end of the day that the bank has not processed yet.

- **Example:** A business deposits \$5,000 in cash on December 31st. The bank statement for December is dated December 30th, so the deposit won't appear until the next month's statement. In the meantime, the business must add this deposit to the bank balance during the reconciliation process.

x. Going Concern Concept in Accounting

The **Going Concern Concept** is an accounting assumption that a business will continue its operations indefinitely, without the intention or necessity of liquidating or significantly reducing its scale of operations in the near future.

Key Points:

1. **Financial Statement Preparation:** Assets are valued based on their ongoing use, not at liquidation value. Liabilities are typically shown as long-term, assuming the business can meet them over time.
2. **Depreciation & Amortization:** These expenses are based on the assumption the business will use assets for their full useful life, rather than needing to sell them off quickly.
3. **Disclosures:** If there's doubt about a company's ability to continue as a going concern (e.g., due to financial difficulties or significant losses), this must be disclosed in the financial statements.
4. **Auditor's Role:** Auditors assess whether the going concern assumption is valid. If they have concerns, they may issue a qualified or disclaimer of opinion.
5. **Importance:** It ensures accurate financial reporting and helps stakeholders make informed decisions about the business's future viability.

Question 2

Golf Arema
Income Statement
For the year ended Dec 31, 2023

	\$	\$
Revenue:		
Admission Revenue		192,000
Expenses		
Rent Expense	36,000	
Repairs expense	5,200	
Salaries expense	79,000	
Light & power expense	4,500	
Depreciation expense: Building	6,000	
Depreciation expense: Golf Course Structure	15,000	
Advertising expense	15,000	(160,700)
= Net Income/ Net Profit		31,300

Golf Arema
Statement of Owner's Equity
For the year ended Dec 31, 2023

	\$
Beginning Capital	108,000
Add: Net Profit	31,300
Less: Drawings	(25,000)
Ending Capital	114,300

Question 3

Beginning inventory = 73 units X 23 = \$1679

Ending Inventory = 51 units

FIFO Method:

Date	Purchase			Issued / Sale			Balance		
	Unit	Cost	Amount	Unit	Cost	Amount	Unit	Cost	Amount
4	113	27	3051				113	27	3051
12	1	29	29				113	27	3051
19	167	32	5344				1	29	29
25	44	35	1540				113	27	3051
							1	29	29
				73	23	1679	167	32	5344
				113	27	3051	113	27	3051
				1	29	298	1	29	29
				160	32	5120	167	32	5344
							44	35	1540
							7	32	224
							44	35	1540
						9879			1764

Average Cost Method:

Date	Purchase			Issued / Sale			Balance		
	Unit	Cost	Amount	Unit	Cost	Amount	Unit	Cost	Amount
							73	23	1679
4	113	27	3051				186	25.5	4730
12	1	29	29				187	25.5	4759
19	167	32	5344				354	28.5	10103
25	44	35	1540				398	29.25	11643
				347	29025	10149.25	51	29.25	1491.75

Question 4

Louls Viton's
Bank reconciliation Statement
As on December 31

	\$
Balance as per Bank Statement	
Add: Cash receipts placed in the bank but do not appear on Dec 31	Cr. 800
Less: Three Outstanding Cheques (\$400 + \$200 + \$100)	Dr. (700)
Adjusted Cash Balance	Cr. 2000
Balance as per Depositor's record	Dr. 1610
Add: Wrongly debit by depositor's bank with lower amount for office supplies	Dr. 90
Add: Bank received notes receivable	Dr. 500
Less: Fees Charges	Cr. (30)
Less: Received customer in payment of its NSF	Cr. (140)
Less: Fee for processing	Cr. (10)
Less: Fees for Cheques printing	Cr. (20)
Adjusted Cash Balance	Dr. 2000

THE END